

Does Delaware Law Still Improve Firm Value?

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Abstract

Delaware law appears to no longer improve firm value. The large valuation (Tobin's q) premium benefitting Delaware firms in the 1990s disappeared in the early 2000s, coinciding with the 2002 Sarbanes–Oxley Act (SOX). Public salience of the Delaware Court of Chancery declined on a similar timeline, and Delaware firms experienced significant negative abnormal returns around SOX enactment. The premium decline is concentrated in firms with the weakest substitutes for Delaware law, consistent with SOX federalizing governance standards that were formerly stronger for Delaware firms. Finally, the recent “DExit” departures from Delaware of eighteen firms evidence no ensuing change in firm value.

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1 Introduction

Does Delaware law still improve firm value? Roughly seventy percent of US public corporations are incorporated in Delaware, a share that has risen over the past two decades (Figure 1). Historically, Delaware maintained this dominant incorporation share by offering a strong body of stable precedent and a prominent, specialized Chancery Court (Romano, 1985; Kahan, Rock, 2025; Goshen, Stein, 2024). In the past, this institutional advantage translated into firm value: Delaware-incorporated firms traded at a Tobin’s q premium over otherwise-comparable firms incorporated elsewhere (Daines, 2001). Yet, on January 30, 2024, amidst a public dispute with the Delaware Court of Chancery, Tesla CEO Elon Musk posted: “Never incorporate your company in the state of Delaware” (Musk, 2024). Since then, seventeen US public companies (including Tesla and Dropbox) have announced or completed reincorporations away from the state. Collectively, these “DExit” firms represent more than \$892 billion in market capitalization, with practitioner and academic commentary suggesting that additional public firms are considering similar moves (Khoo, Tallarita, 2025; Kahan, Rock, 2025). The traction of the DExit movement, together with substantial changes to the corporate governance environment in the past quarter century suggests that the relative value of Delaware law may have changed since Daines (2001). In this paper, I show that Delaware firms today do not benefit from a valuation premium, and provide evidence that this change is largely driven by the federalization of corporate law under the Sarbanes–Oxley Act (SOX) of 2002.

Following Daines (2001), I estimate the Delaware premium over the 1981–1996 period by regressing Tobin’s q onto a Delaware-incorporation indicator variable and a set of controls. I estimate a Delaware coefficient of +0.079, broadly consistent with Daines (2001)’s published estimate of +0.07 and implying approximately a 5% premium in market capitalization for the median firm. Expanding this panel to the present day reveals a striking pattern: the Delaware premium peaked in the late 1990s, declined sharply in the early 2000s, and has been near-zero ever since. These results continue to hold after accounting for intangible-

capital, following [Peters and Taylor \(2017\)](#). [Daines \(2001\)](#) also found that Delaware firms were significantly more likely to receive takeover bids and to be acquired, and interpreted this as evidence that Delaware law facilitated merger activity. I show that this advantage too has eroded: Delaware firms' relative acquisition propensity fell by more than two percentage points after 2002, mirroring the decline in the valuation premium.

In 2002, the Sarbanes–Oxley Act imposed comprehensive federal disclosure, internal-control, and audit-committee requirements on US public companies ([Coates, Srinivasan, 2014](#); [Romano, 2005](#)). If this federal floor substitutes for protections that Delaware corporate law had previously supplied, the Delaware Court of Chancery, the central institution responsible for applying and refining Delaware corporate law, should experience a decline in prominence in the post-SOX period. To test this hypothesis, I introduce two proxies for the Court's salience over time. Google Books Ngram captures the appearance of the phrase “Delaware Court of Chancery” in legal and academic writing, whereas Google Trends captures public attention via search behavior. Both measures show a broad decline which intensifies after SOX and generally tracks the erosion of the Delaware premium. These time-series patterns suggest that Delaware corporate law declined in relative importance after SOX and motivate a more granular approach to identify SOX's contribution to the decline in the Delaware premium.

To that end, I conduct an event study around several dates relevant to SOX's approval and enactment. If SOX effectively federalized governance provisions that were previously a benefit of incorporation in Delaware, then Delaware firms should underperform around the key events that made this substantial federal reform more likely. Following the late-2001 disclosure of accounting fraud at Enron, discussion intensified around then-controversial legislation to federalize a number of corporate governance provisions. A comparatively muted version of this legislation passed the House of Representatives on April 24, 2002. However, the sequence of events that made strengthened legislation a reality unfolded over roughly five weeks, beginning with WorldCom's disclosure of a \$3.8 billion accounting fraud on June 25,

2002 and ending with President George W. Bush signing the Sarbanes–Oxley Act into law on July 30 (the Senate having passed it 97–0 on July 15). Over this period, sweeping federal governance reforms went from politically uncertain to enacted law (Hamburger et al., 2002; Zhang, 2007; Chhaochharia, Grinstein, 2007). Because the probability of SOX’s enactment changed dramatically over a matter of weeks rather than years, this episode provides a useful setting to test whether the timing of the Delaware premium’s erosion can be tied to the progression of the legislation itself.

Over the five weeks between the WorldCom disclosure and SOX’s signing into law, Delaware firms experienced cumulative abnormal returns of -1.72 percentage points and continued to underperform through October 2002, before stabilizing near -3.82 percentage points through the end of the year. Compared to the five percent market capitalization premium estimated by Daines (2001), this difference in returns indicates that the bulk of the Delaware premium was eliminated in the lead-up and immediate aftermath of SOX’s passage. That Delaware firms’ underperformed precisely when stringent federal legislation went from unlikely to signed law is difficult to reconcile with non-SOX confounding explanations. By contrast, neither the Enron disclosure nor the House passage of the weaker Oxley bill produced any divergence between Delaware and non-Delaware firms, consistent with prior literature (Zhang, 2007) arguing that these events did not materially increase the likelihood or expected stringency of federal reform.

Another approach to evaluating whether SOX is behind the disappearance of the premium is to examine the heterogeneity of the decline across firms. If SOX reduced the Delaware premium by installing a federal governance floor that substituted for the value-add of Delaware’s legal environment, then firms with weaker private substitutes for Delaware corporate law (or firms with worse baseline governance, more generally) should experience a steeper post-SOX decline. Long-run triple-difference designs across a battery of variables support that prediction. The Delaware premium falls disproportionately among (i) small firms, which have fewer private alternatives to Delaware’s legal protections; (ii) firms listed

off the major U.S. exchanges, where exchange-mandated governance requirements are thinner; and (iii) firms whose internal controls were later exposed as deficient by Section 404 audits, the most direct measure of where SOX’s federal floor actually bit. The Delaware premium fell most where governance was thinnest, as one would expect if SOX reduced the marginal value of Delaware incorporation.

Finally, I use the recent DExit departures to test directly whether Delaware incorporation commands a valuation premium today. I perform a daily event-study around each reincorporation proposal since 2003, and find no evidence that the average departure leads to negative abnormal returns. A natural limitation of this test is that it is low-powered, consisting of only 18 firms, and suffers from self-selection. Therefore, I also employ a lower frequency test using synthetic controls, a method specifically designed to overcome these problems (Abadie, Gardeazabal, 2003; Abadie, Diamond, et al., 2010). For each reincorporating firm, I construct a synthetic portfolio of Delaware firms from the same industry that closely matches its pre-reincorporation characteristics. Comparing the reincorporating firms with their synthetic counterfactuals, I find no evidence that reincorporation changes Tobin’s q , on average.

This paper makes three contributions. First, it extends and reinterprets the empirical record on the Delaware premium. Subramanian (2004) argued that the premium had become nonexistent by the late 1990s and was concentrated in small firms. My extension suggests a different reading; though the premium slowly decreased during the late 1990s, it recovered in 1999 and remained large until the summer of 2002 when it abruptly declined. While Subramanian (2004) and I agree that the premium has declined over time, I demonstrate that the timing of the collapse is most consistent with a SOX effect. My results also suggest a reinterpretation of Subramanian (2004)’s critique that the premium is a small-firm phenomenon. I suggest that small firms lack the private governance substitutes available to large companies and so had the most to gain from Delaware’s governance protections and the biggest lost advantage when SOX federalized these protections.

Second, the paper contributes to the SOX literature. The dominant reading of that literature, following [Zhang \(2007\)](#) and [Iliev \(2010\)](#), frames SOX primarily as a cost imposition on public companies. This paper documents a different margin: by extending mandatory governance protections to all public companies regardless of state of incorporation, SOX eroded the relative value of a high-quality incorporation domicile.

Third, the findings speak to the race-to-the-top versus race-to-the-bottom debate ([Cary, 1974](#); [Winter, 1977](#); [Romano, 1985](#)) around state competition for corporate charters. The evidence corroborates the race-to-the-top view of the pre-SOX world: Delaware offered substantive governance protections, investors priced them, and the premium disappeared only when those protections were federalized. The dominant view holds that this equilibrium is stable ([Romano, 1985](#); [Bebchuk, Hamdani, 2002](#)), though my evidence suggests it is more contingent, since a single federal statute was sufficient to eliminate two decades of accumulated advantage. Delaware’s legislative response to DExit, Senate Bill 21 ([Delaware S.B. 21, 2025](#); [Bennett et al., 2026](#)), which relaxed minority-shareholder protections to retain corporate clients, is precisely the race-to-the-bottom dynamic [Cary \(1974\)](#) anticipated, but it emerged after the premium had been gone for two decades.

These contributions are timely. Because franchise taxes and related fees account for a substantial share of Delaware’s revenue ([Kahan, Kamar, 2002](#)), the erosion of its incorporation value-add has direct fiscal implications for the state. The DExit wave and Senate Bill 21 are visible symptoms of a structural shift that, this evidence suggests, began two decades earlier when SOX quietly eliminated the premium Delaware had built over a generation. Firms are leaving not because Delaware governance has suddenly worsened, but because it no longer commands a price premium — the protections it once sold exclusively have been available federally since 2002. Delaware’s response, weakening minority-shareholder protections to stem the departures, confirms the diagnosis: when governance quality ceases to be the basis of competition, the equilibrium that sustained it begins to unravel.

The remainder of the paper is organized as follows. Section [2](#) describes Delaware’s

corporate-law product, the federalization of governance standards under SOX, and the recent DExit episode. Section 3 describes the data and empirical strategy. Section 4 presents the results. Section 5 concludes.

2 Institutional Background

2.1 Delaware Corporate Law Franchise

Roughly seventy percent of all publicly traded U.S. companies (Figure 1) and roughly two-thirds of the Fortune 500 are incorporated in Delaware (Daines, 2001; Romano, 1985). Delaware earns roughly a quarter of its annual revenue from incorporation franchise taxes and fees (Kahan, Kamar, 2002), giving it a unique fiscal stake in corporate law quality.

The academic literature frames Delaware’s dominance through two competing hypotheses. Cary (1974) argued that interstate competition for corporate charters is a race to the bottom: states bid for incorporation revenue by offering rules that benefit managers at the expense of shareholders, and Delaware wins because it is the most permissive. Winter (1977) and Romano (1985) offered the opposite view, that competition is a race to the top: firms choose their state of incorporation to signal governance quality to investors, and Delaware wins because it supplies the most valuable corporate-law product. The Daines (2001) premium is consistent with the race-to-the-top view: investors paid more for firms that had credibly committed to high-quality governance by selecting a demanding corporate-law regime.

The enforcement of Delaware’s corporate-law is the responsibility of the state’s Court of Chancery, an equity court with no jury that has heard corporate disputes since 1792 (Delaware Court of Chancery, 2024). The Court’s institutional features are difficult for competing states to replicate quickly: a bench of full-time judicial officers with deep expertise in corporate law, a procedural tradition that facilitates rapid resolution, and more than two centuries of accumulated precedent that gives boards and lawyers a fairly reliable map of

court behavior (Romano, 1985; Goshen, Stein, 2024). Delaware law is often described as “predictable” in the sense that the dense body of doctrine reduces the legal uncertainty embedded in significant corporate decisions.

Delaware has developed a large body of fiduciary-duty doctrine governing the relationship between managers, directors, and shareholders. Over time, Delaware courts have developed doctrines addressing director oversight responsibilities, takeover defenses, change-of-control transactions, and shareholder litigation. Cases such as *Caremark*, *Revlon*, and *Unocal* are among the best-known examples.

A potentially important channel through which Delaware law creates value is its treatment of corporate control transactions (via the *Revlon* and *Unocal* case lines). Daines (2001) found not only that Delaware firms traded at a premium but also that they were more likely to be acquired and more active as acquirers, and argued that Delaware law lowered the costs of efficient control transfers. These findings suggest that at least part of the valuation premium may have reflected the market’s expectation that Delaware firms would benefit from more efficient future control transactions. Section 4 shows that this M&A advantage eroded in tandem with the premium after 2002.

2.2 SOX and the federalization of corporate governance

For most of the twentieth century, the substantive content of U.S. corporate governance was a matter of state law. The federal securities statutes of 1933 and 1934 regulated disclosure: what public companies must tell investors. The underlying rules of fiduciary duty, board composition, internal control, and the remediation of managerial misconduct were left to the law of the state of incorporation (Coates, Srinivasan, 2014).

The Sarbanes–Oxley Act of 2002 (Pub. L. 107-204), enacted in the immediate aftermath of the Enron and WorldCom accounting scandals, materially shifted the corporate governance environment by imposing a comprehensive set of governance requirements in areas traditionally governed by state corporate law (Coates, Srinivasan, 2014; Romano, 2005).

The four most economically significant provisions, and the Delaware doctrines with which they most overlap, are summarized in Table 1. Collectively, these provisions imposed federal standards for executive accountability, internal controls, board oversight, and misconduct reporting, reducing the extent to which firms relied exclusively on Delaware law for governance protections.

2.3 The recent DExit episode

In January 2024, Chancellor Kathaleen McCormick of the Court of Chancery issued a 200-page opinion in *Tornetta v. Musk* rescinding Elon Musk’s 2018 compensation package at Tesla, valued at approximately \$56 billion (McCormick, 2024). The ruling applied Delaware’s entire-fairness standard on the grounds that Musk was a controlling stockholder with respect to his own pay negotiation, and that the board members who approved the plan lacked adequate independence. Within days, Musk posted publicly that firms should “never incorporate in the state of Delaware” (Musk, 2024), announced plans to move Tesla to Texas, and called a shareholder vote to ratify the voided compensation.

The episode catalyzed a wave of reincorporations (Kahan, Rock, 2025; Khoo, Tallarita, 2025). Table 2 and Figure 2 document the full cohort: as of early 2026, 18 public companies had proposed departures; 16 completed the move, most to Nevada or Texas. Collectively the cohort represented over \$892 billion in market capitalization, concentrated in technology and financial-services firms with concentrated ownership structures. Delaware’s legislature responded in March 2025 with Senate Bill 21, the most significant amendment to the Delaware General Corporation Law in decades, creating statutory safe harbors for controlling-stockholder transactions and narrowing shareholder inspection rights (Delaware S.B. 21, 2025); Bennett et al. (2026) document adverse market reactions to SB 21’s passage, consistent with shareholders pricing the weakened protections. The Delaware Supreme Court reversed the Tornetta rescission remedy in December 2025 (Delaware Supreme Court, 2025) and upheld SB 21’s constitutionality in February 2026.

Two features of this episode are important for interpreting the paper’s findings. First, the premium documented in Section 4 disappeared around 2002 and had been statistically indistinguishable from zero for twenty years before Toretta. The DExit wave does not explain the premium’s disappearance, as it postdates it by two decades. Second, the departing firms are almost exclusively controlled companies whose specific grievance was entire-fairness review of controlling-stockholder transactions, a corner of Delaware doctrine irrelevant to the broad governance floor the paper measures. The vast majority of Delaware-incorporated public companies have no controlling stockholder and were unaffected by the rulings that triggered the wave. Section 4.5 shows that markets did not react to the departures, consistent with the view that the governance value of Delaware incorporation had already been eliminated.

3 Data

3.1 Sample construction

The primary data source is the Compustat, covering fiscal years 1971 through 2025. I extract all firm-years with nonmissing total assets, net sales, share price, shares outstanding, common equity, and state of incorporation. Following Daines (2001), I exclude regulated utilities (SIC 4900–4999) and financial firms (SIC 6000–6999) and require each firm to appear in at least five fiscal years. State of incorporation in Compustat is time-invariant, recording only the most recent filing. I correct systematic miscoding of recently reincorporated firms using EDGAR-derived state-of-incorporation flags, constructed by parsing the most recent DEF 14A and 10-K headers for each Compustat firm. Firms whose Compustat incorporation state and EDGAR flag disagree are assigned the EDGAR value.

A natural concern is that the late-1990s Delaware premium spike is an artifact of the dot-com bubble. I therefore exclude firms whose modal four-digit SIC code falls aligns with a technology sector (computer hardware, telecom equipment and services, semiconductors,

computer services and software, and e-retail). The main results are similar with these firms included. The resulting annual panel contains 151,462 firm-year observations.

3.2 Measuring firm value

The principal outcome variable is Tobin’s q . For the [Daines \(2001\)](#) replication I use the standard formulation (e.g., (Kaplan, Zingales, [1997](#))):

$$Q_{it} = \frac{\text{MVE}_{it} + \text{AT}_{it} - \text{CEQ}_{it} - \text{DT}_{it}}{\text{AT}_{it}},$$

where MVE is market equity (shares outstanding times fiscal-year-end price), AT is book total assets, CEQ is book common equity, and DT is balance-sheet deferred taxes. After replicating [Daines \(2001\)](#), I perform the remaining analysis using the intangible-adjusted total q of [Peters and Taylor \(2017\)](#). I trim q at the 1st and 99th percentiles within each fiscal year and winsorize the controls at the 5th and 95th percentiles.

3.3 Supplementary data

Daily stock returns come from the CRSP daily stock file and are used for event studies around both SOX and DExit. M&A data are from SDC Platinum (1985–2021); I construct target and acquirer propensity indicators, restricting the target indicator to control-changing deal forms with at least 50% of shares acquired. SOX internal-control data are from Audit Analytics, which records material-weakness disclosures and audit fees from Section 404 filings beginning in fiscal year 2004. I construct public-salience proxies from the Google Books Ngram Corpus (annual mention frequency of “Delaware Court of Chancery” and “Delaware Chancery” in the English-language corpus) and Google Trends (monthly and weekly search interest).

4 Results

4.1 The erosion of the Delaware premium

Table 3 replicates the main result of Daines (2001) over his original 1981–1996 sample. Following Daines, I regress Tobin’s q on a Delaware-incorporation indicator, controlling for firm size, R&D intensity, profitability, diversification, and industry. The estimated Delaware coefficient is +0.079, closely matching Daines’s published estimate. For the median sample firm, this increment corresponds to approximately a 5% premium in market value.

Standard Tobin’s q understates the true asset base of intangible-intensive firms because investment in R&D and a portion of SG&A is expensed in the income statement rather than capitalized on the balance sheet (Peters, Taylor, 2017). If Delaware-incorporated firms differ systematically from non-Delaware peers in intangible intensity, then the Daines (2001) result could reflect measurement error rather than a true valuation premium. I address this concern by re-estimating the Daines replication using the intangible-adjusted total q of Peters and Taylor (2017), which capitalizes R&D and organizational capital on the balance sheet. The results are essentially unchanged, but in light of Peters and Taylor (2017) I use the intangible-adjusted total q of throughout the rest of the paper.

Figure 3 plots the estimated Delaware coefficient from annual cross-sectional regressions over the full 1981–2025 panel using the intangible-adjusted q of Peters and Taylor (2017). Panel (a) shows the per-year 1/99-trimmed specification (the baseline throughout); panel (b) the industry-adjusted specification, which subtracts the three-digit SIC mean q ; and panel (c) the per-year 5/95-winsorized specification. For each, the premium follows a distinctive arc: stable and significant through the 1980s and early 1990s, expanding sharply through the late 1990s, then declining steadily through the early 2000s and effectively zero thereafter. The late-1990s expansion is not an artifact of the dot-com bubble, as technology and internet firms are excluded throughout (Section 3). Table 4 presents the coefficients numerically, along with the number of firms n in each cross-section.

Daines (2001) argued that Delaware law improved firm value in part through a transactional channel: by lowering the costs of efficient control transfers, incorporation in Delaware made firms more valuable to potential acquirers and more active acquirers themselves. I test whether this transactional advantage eroded post-SOX using a difference-in-differences design. Table 5 reports difference-in-differences estimates of Delaware firms’ propensity to participate in M&A transactions. Pre-2002, Delaware-incorporated firms were +1.60 percentage points more likely in any given year to make an acquisition than comparable non-Delaware firms, against a base acquisition rate of roughly 22% of firm-years; they were also modestly more likely to be targets (+0.46 percentage points). After 2002, both advantages closed: the estimated Delaware $\times$ Post-2002 interaction on acquisition propensity is -2.82 percentage points, eliminating the pre-SOX differential entirely. Figure 4 presents two panels, one for target propensity and one for acquirer propensity. In each, I regress the relevant activity indicator on a Delaware indicator and standard controls separately for each year from 1985 through 2021, and plot the estimated Delaware coefficient alongside the annual q -premium series from Figure 3 as a dashed line. Both series track the q -premium path closely: the Delaware acquisition and target advantages are positive and stable through the 1990s, turn negative in the mid-2000s, and remain there. The acquirer coefficient exhibits a sharper and earlier decline, while the target coefficient’s erosion is more gradual, consistent with acquirer behavior being more immediately sensitive to changes in the legal and governance environment. The valuation premium and the transactional advantage that Daines identified as its mechanism declined in tandem, consistent with a single underlying shift that eroded the premium and the primary channel Daines (2001) identified as its source.

4.2 The declining salience of Delaware corporate law

If SOX federalized governance protections that Delaware previously supplied predominantly, the Delaware Court of Chancery, the institution through which those protections are delivered and refined, should experience a decline in practical prominence over the post-SOX

period. I construct two proxies for the Court’s salience that operate at different frequencies and capture different audiences. The first is the Google Books Ngram frequency of references to the Court in published text, which captures the Court’s prominence in legal and academic writing over the long run. The second is the Google Trends search index for the Court, which captures public attention from a more general audience. Both are composite measures, each summing search indices for the queries “Delaware Court of Chancery” and “Delaware Chancery Court.” Summing across these variants reduces sensitivity to how users phrase their searches and gives a more stable signal of underlying interest.

Figure 5 presents the Ngram evidence in three panels. The top panel reproduces the annual Delaware q -premium coefficient from Figure 3 as a reference. The middle panel plots the Delaware Court of Chancery composite Ngram frequency alongside the Ngram frequency for “Sarbanes-Oxley.” The contrast is striking: references to the Delaware Court of Chancery in published text rose steadily through the 1980s and 1990s alongside the premium, then flattened and declined after 2002 as references to Sarbanes-Oxley surged. The bottom panel makes this substitution explicit, plotting SOX’s share of the combined cumulative Ngram attention across the two bodies of law. SOX’s share rises steadily through the 2000s and crosses the 50% mark, indicating that in the post-SOX era the federal governance statute has attracted more cumulative scholarly and legal attention than the Delaware Court it partially supplanted. Across the sample, the annual Delaware Chancery Ngram frequency is positively correlated with the annual Delaware q -premium coefficient (Spearman $\rho = 0.29$; Pearson $r = 0.34$), and the rise of SOX’s attention share is negatively correlated with the premium (Spearman $\rho = -0.52$; Pearson $r = -0.43$).

Figure 6 turns to Google Trends, which extends the salience evidence to the present and captures a broader audience. The figure plots the monthly composite search index for the Delaware Court of Chancery from 2004 (the earliest year for which Google Trends data are available) through early 2026. The broad pattern mirrors the Ngram: search interest is relatively elevated in the early 2000s and declines through the 2010s, consistent with the

Court becoming a less salient institution in the everyday landscape of corporate governance as SOX’s federal standards matured.

What distinguishes the Google Trends (6) series from the Ngram (5) is its behavior since 2022. The monthly figure shows sharp spikes layered onto an otherwise subdued baseline: the filing of *Twitter v. Musk* in Chancery in July 2022, the Court’s voiding of Elon Musk’s \$56 billion Tesla compensation package in January 2024, the signing of SB 21 into law in March 2025, and the Delaware Supreme Court’s reversal of the pay ruling in December 2025. The weekly figure (Figure 7) resolves these episodes in greater detail. Importantly, the nature of this renewed attention is qualitatively different from the attention the Court attracted in its pre-SOX prime. In the 1980s and 1990s, Delaware Court of Chancery drew attention as a value-creating institution. The spikes of 2022–2025, on the other hand, may reflect the Court under siege: litigation over whether its most prominent rulings would be honored, legislative override of those rulings, and the departure of major firms. These events , map directly onto the DExit movement documented in Table 2 and examined in Section 4.5.

Taken together, the Ngram and Trends evidence paints a consistent picture: the Delaware Court of Chancery declined as a salient institution in corporate governance in the years following SOX, and has recently re-entered public attention not as a trusted venue but as a contested one. These patterns are consistent with the SOX-substitution hypothesis, but they are not sufficient to establish it. Any slow-moving legal or institutional trend could in principle produce parallel declines in Court salience and firm valuation; the proxies cannot isolate SOX’s causal contribution. The next section turns to an event study designed to do exactly that.

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in Court salience and firm valuation; the proxies cannot isolate SOX’s causal contribution. The next section turns to an event study to more credibly isolate causal effects.

4.3 Event study: SOX enactment and the Delaware premium

If SOX caused the Delaware premium to disappear, Delaware firms should have experienced negative abnormal returns during the legislative window in which SOX went from unlikely to enacted law. I test this hypothesis with the following regression:

$$CAAR_i(t) = \alpha + \beta_t \text{delaware}_i + \gamma' \mathbf{x}_i + \delta_j + \varepsilon_{it}, \quad (1)$$

where $CAAR_i(t)$ is firm i ’s cumulative industry-adjusted abnormal return through day t (using equal-weighted SIC2 returns as a benchmark), normalized to zero on the trading day before the event under study. $\mathbf{x}_i$ contains $\log(\text{sale})$, R&D intensity, ROA, and lagged ROA. δ_j are SIC2 fixed effects. The path of $\hat{\beta}_t$ traces the differential cumulative return for Delaware vs. otherwise-similar non-Delaware firms. I use heteroskedasticity-robust (White, 1980) standard errors and depict a 95% confidence interval. The sample consists of the 2,676 dot-com-excluded firms that map to a CRSP permno (Section 3; results are robust to including dot-com firms).

Figure 8 depicts the path of the Delaware coefficient over the period between March 1 through December 31, 2002, including the period during which SOX’s enactment went from being viewed as an unlikely to enacted law. The pre-trend from March through June 24, before any strong-SOX catalyst, is a flat +0.35 percentage points, consistent with no anticipatory repricing. On June 25, WorldCom announced the largest accounting fraud in U.S. history, and substantive federal legislation became a near certainty (smith2003). The announcement produced a sharp downward break in the Delaware coefficient. 10 days after the WorldCom disclosure, the DE return differential was a statistically significant −1.50 percentage points. The coefficient continued declining through SOX’s Senate passage (97–

0, July 15) and President Bush’s signing (July 30), by which point DE firms had lost a cumulative -1.72 percentage points, on average. Between October and year-end, this number had largely stabilized at around -3.82 percentage points, as investors continued repricing Delaware’s relative governance contribution in the months following enactment.

The cumulative -3.82 percentage point discount is economically large relative to the premium it erased. [Daines \(2001\)](#) estimated that Delaware incorporation was worth roughly five percentage points of market capitalization for the median firm. The loss of value to Delaware firms by the end of 2002 accounts for the bulk of that premium, suggesting that SOX and its aftermath eliminated most of it. The speed of this value deterioration is striking: a multi-decade valuation differential was substantially diminished within a five-week window leading up to the legislation, and all but erased within 2 months thereafter. This is difficult to attribute to any slow-moving alternative explanation; the maturation of competitor-state judiciaries, the rise of institutional monitoring, and the development of internet-based communication all evolved over years rather than weeks. The timing and magnitude of the repricing are strongly suggestive that SOX meaningfully decreased the value of Delaware’s governance protections.

On the other hand, [Figure 9](#) shows that the April 2002 House passage of the Oxley bill produces no Delaware differential. The bill was widely understood at the time as a modest disclosure measure that had limited value-relevant implications. The evidence from [Figure 9](#) suggests that market participants anticipated that the Oxley bill would not materially alter the governance gap between Delaware and non-Delaware firms. In the 10 days following the House passage, Delaware firms experienced an economically small and statistically insignificant change of -0.03 percentage points relative to non-Delaware peers.

A plausible alternative interpretation of the SOX-window results is that Delaware law, not the federal statute, was responsible for the premium’s collapse. Enron was a Delaware-incorporated firm; if its collapse revealed that Delaware governance was inadequate in failing to prevent the fraud, investors might have repriced Delaware incorporation at that moment,

independently of any legislative response. To test this, I conduct an event study using the same approach as the one described above around the Enron event. This event study is depicted in Figure 10, and shows no evidence that Delaware firms experienced differential returns around the Enron stock collapse of October 2001. This null result indicates that the failure of Delaware law to prevent the Enron disaster was not responsible for the decrease in the premium that began several months later.

In Table 6, I summarize the findings of this event study approach estimated around several of the key legislative dates. The nulls effects around the House bill signing and the Enron disclosure, alongside the large and significant effects at WorldCom and the signing, are consistent with the pattern noted in Zhang (2007) that SOX-related valuation effects were concentrated in July, roughly the same window over which the Delaware premium was eroded.

To assess whether the observed Delaware returns at the key legislative dates are unusually negative, I construct an empirical null distribution (Figure 11). For each of 150 pseudo-event dates drawn at random from the 1993–2009 CRSP daily file, I re-estimate Equation 1 and record the resulting coefficient. The distribution is centered near zero, suggesting the result is not mechanical, and provides a baseline against which to judge the magnitude of the real-event effects. The response around the WorldCom disclosure sits at the 0.01 quantile (left tail) and the signing at 0.07. The House bill and Senate passage dates fall in the middle of the distribution ($p = 0.62$ and $p = 0.67$ respectively), confirming that the large Delaware discounts are specific to the window around SOX’s passage.

I verify that the result of Figure 8 is not driven by outlier returns by repeating the exercise using CAARs that are winsorized at the 5th and 95th percentile (Appendix Figure 17) and by replacing the OLS regression with a median (quantile) regression (Appendix Figure 16). The patterns are essentially unchanged, confirming that the large negative Delaware CAARs between the WorldCom disclosure and the SOX signing are not driven by outliers.

Taken together, these event studies point to SOX as a major cause of the Delaware

premium’s disappearance. The next section reinforces the interpretation by showing that the premium declines most precisely where SOX’s federal governance floor substitutes most directly for Delaware law.

4.4 Heterogeneity: where did the premium erode?

If the decline in the Delaware premium is due to SOX federal governance standards, then the premium should decline most for firms that had the weakest alternative sources of governance quality (i.e., those that relied most heavily on Delaware’s governance protections). I use three main characteristics to proxy for existing governance deficiencies. Small firms lack the financial and legal infrastructure of large corporations; with fewer in-house compliance resources and less access to the analyst scrutiny and institutional monitoring that can substitute for formal legal protections, Delaware’s governance product was relatively more valuable to them, so SOX’s mandatory floor should have mattered most precisely there. Firms listed off a major exchange similarly lack the discipline of exchange listing standards and continuous analyst coverage, making their Delaware-specific protections a larger share of total governance. Finally, firms subsequently identified as having material internal-control weaknesses under SOX Section 404 are a direct, ex-post measure of governance deficiency; they had the most acute gaps, and the federal audit floor should have been most consequential for them.

For each of these three dimensions I estimate a triple-difference of the form

$$\begin{aligned}
Q_{it} = & \alpha + \beta_1 \text{DE}_i + \beta_2 G_{it} + \beta_3 \text{Post}_t + \beta_4 (\text{DE}_i \times G_{it}) \\
& + \beta_5 (\text{DE}_i \times \text{Post}_t) + \beta_6 (G_{it} \times \text{Post}_t) + \theta (\text{DE}_i \times G_{it} \times \text{Post}_t) + \mathbf{X}_{it}' \boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it},
\end{aligned} \tag{2}$$

where G_{it} is a binary indicator equal to one for the exposed group in each case (small, non-major-exchange, or material-weakness firms). A negative $\hat{\theta}$ means the Delaware premium fell more sharply for that group after 2002. Table 7 collects these estimates alongside the null

results from institutional ownership, controlled-company status, and dual-class structure; Tables 8, 9, and 10 report the full per-period breakdowns for the three primary moderators, and analogous tables for the remaining moderators are in Appendix B.

Size. Small firms lack the financial and legal infrastructure of large corporations and have the least access to institutional monitoring and analyst scrutiny as private substitutes for Delaware’s governance protections; they should have relied on Delaware law the most, and SOX’s federal floor should have been the most consequential for them. I split firms at the median annual sales in each year (small-firm median: \$24 million; large-firm median: \$771 million). The coefficient of interest, $\hat{\theta}$, is a statistically significant -0.15 percentage points, indicating that the premium’s disappearance was concentrated among small firms. The pre-SOX Delaware premium was similar across size groups, with a small-firm premium of $+0.05$ percentage points and a difference between groups of $+0.03$ percentage points that is not statistically significant. Post-SOX, the large-firm premium is essentially zero at $+0.00$ percentage points, while the small-firm premium is a modestly negative -0.11 percentage points. The entire cross-sectional variation in the premium’s disappearance concentrates in the small-firm group (Table 8).

Listing venue. Firms listed on a major exchange (74% of the sample) face continuous analyst coverage, exchange listing standards, and reputational discipline from institutional investors — private governance substitutes that OTC and pink-sheet firms (26%) lack. The prediction is that the premium erodes most for non-major-exchange firms, which relied on Delaware law more heavily. The prediction is confirmed (Table 9): the Delaware premium was larger pre-SOX among non-major-exchange firms, and the Panel A per-period breakdown shows that differential had eroded entirely by the post-SOX window.

Internal-control weakness. SOX Section 404 created a direct firm-level measure of governance deficiency: a material weakness finding means auditors identified a deficiency severe enough to allow a material misstatement to pass undetected. These firms had the most acute governance gaps and should have benefited most from SOX’s mandatory audit floor,

so their Delaware premium should have eroded most sharply. On the 93,791-observation accelerated-filer subsample, the triple-difference for material-weakness firms is -0.13 , confirming the prediction. Table 10 shows that pre-SOX there is no meaningful difference between material-weakness and clean Delaware firms (-0.03); the post-SOX gap opens to -0.14 , considerably larger.

Null results. Not every moderator tells the same story, and the nulls are informative. Institutional ownership produces a triple-difference of $+0.04$ ($p = 0.50$) under the baseline specification — an economically negligible null. The controlled-company and dual-class splits produce triple-differences of $+0.08$ and -0.01 respectively, neither significant. Controlled and dual-class firms are not subject to SOX’s independent-director mandates, so the absence of differential erosion for their non-exempt counterparts is consistent with the mechanism operating through governance quality as experienced by the firm, not through formal board-structure channels.

4.5 DExit: firms leave Delaware

If the Delaware premium has truly disappeared, firms that leave Delaware should not receive a substantive re-pricing from the market in response. The recent DExit wave offers a direct test.

Table 2 and Figure 2 document the DExit cohort. As of early 2026, 18 public companies had announced reincorporation proposals; 16 completed the move, most to Nevada or Texas. Collectively the departing firms represented more than \$892 billion in market capitalization, concentrated in technology and financial-services firms with concentrated ownership structures. Figure 12 shows that departing firms are larger, more valuable, and higher-levered than the typical Delaware firm, consistent with the cohort being drawn from the population that historically stood to gain most from Delaware’s governance environment.

Market reactions to the reincorporation announcements show no evidence of a positive repricing. Figure 13 plots the equal- and value-weighted cumulative abnormal returns

around each proposal date; Figure 15 in the appendix shows the per-firm breakdown. Equal-weighted, the cohort earns a mean cumulative abnormal return of -3.9% at announcement; value-weighted, approximately -1.4% . Neither estimate is statistically distinguishable from zero, consistent with no market-assessed governance benefit from leaving Delaware.

A critique of the event-study approach is that the DExit cohort is small by design, and the reincorporating firms are self-selected in ways that may muddy the interpretation of the results. The synthetic control method (Abadie, Gardeazabal, 2003; Abadie, Diamond, et al., 2010) is designed specifically to overcome these limitations by constructing a data-driven counterfactual that consists of a weighted combination of “donor” units. For each reincorporating firm, I construct a donor pool consisting of Delaware- incorporated firms in the same two-digit SIC industry that do not leave Delaware. The controls are matched on pre-proposal sales, R&D intensity, return on assets, average pre-proposal q , and the q in the last pre-proposal quarter. If the two-digit donor pool yields a poor pre-period fit, I expand it to the one-digit SIC level. I then apply a filter requiring that each reincorporating firm have a pre-proposal root mean squared prediction error below 0.7; 11 of the 16 fitted reincorporating firms meet this threshold. Exhibits showing the q trajectory, covariate balance, and donor portfolio weights for each of the 11 included firms are in Appendix D. Figure 14 plots the mean and median treated-minus-synthetic q gap in event time. The gap is small and statistically indistinguishable from zero in the pre-reincorporation window, consistent with valid parallel trends; after the move, reincorporating firms show no discernible q improvement.

Although the sample naturally has limited power, both the event-study test and synthetic-control estimates indicate that reincorporating out of Delaware today neither creates nor destroys value.

5 Conclusion

The Delaware valuation premium documented by [Daines \(2001\)](#) disappeared around 2002; the evidence implicates the Sarbanes–Oxley Act as the proximate cause.

The disappearance of the premium is a novel empirical fact with consequential implications for both Delaware and the literature on state competition for corporate charters. The dominant view holds that interstate competition for corporate charters produces a self-reinforcing equilibrium in which Delaware commands a stable, value-enhancing advantage ([Romano, 1985](#); [Bebchuk, Hamdani, 2002](#)). The evidence here suggests that this equilibrium is more contingent, and Delaware’s incumbency less secure, than the literature had acknowledged. Because franchise taxes and related fees from incorporated firms account for a substantial share of Delaware’s revenue ([Kahan, Kamar, 2002](#)), the empirical disappearance of its value-add to firms has real fiscal consequences for the state.

By identifying the federalization of corporate governance under SOX as the most probable cause of the premium’s decline, the paper also sheds light on how Delaware corporate law improved firm value in the first place. The Daines premium appears to have rested on the specific governance protections, disclosure requirements, internal controls, and audit-committee independence, that SOX subsequently extended to all public companies by federal mandate. This recasts Delaware’s pre-SOX advantage as contingent on the supply of alternative governance protections rather than as a fixed feature of state law. Any state-level governance innovation that occupies regulatory space federal law could plausibly fill faces the same vulnerability.

The findings speak to the foundational debate between race-to-the-top and race-to-the-bottom accounts of Delaware’s dominance. Like [Daines \(2001\)](#), this paper corroborates the race-to-the-top view of the pre-SOX world: Delaware offered substantive governance protections before 2002, generating a premium that disappeared when SOX democratized those protections. Delaware’s legislative response to the DExit departures, Senate Bill 21 (Delaware S.B. 21, [2025](#); [Bennett et al., 2026](#)), which relaxed minority-shareholder protec-

tions to retain corporate clients, is precisely the race-to-the-bottom dynamic [Cary \(1974\)](#) anticipated, though it emerged only after the premium had been gone for two decades.

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Table 1: The four economically significant provisions of the Sarbanes–Oxley Act of 2002 (Pub. L. 107-204) and the Delaware corporate-law doctrines they federalized. Each provision imposed a binding governance requirement on all U.S. public companies, substituting for the state-law obligation that Delaware had previously supplied through its Court of Chancery. Sources: [Coates and Srinivasan \(2014\)](#); [Romano \(2005\)](#).

SOX section	Federal requirement	Related Delaware doctrine
§ 302 <i>CEO/CFO certification</i>	CEOs and CFOs must personally certify the accuracy of periodic financial statements and the adequacy of internal controls, with criminal liability for knowing violations.	<i>Caremark</i> duty of care and disclosure: directors’ obligation to oversee financial reporting and internal controls, enforced through derivative litigation in Chancery.
§ 404 <i>Internal-control attestation</i>	Management must assess and report on the effectiveness of internal control over financial reporting; the external auditor must independently attest to that assessment (Iliev, 2010).	<i>Caremark</i> , <i>Stone v. Ritter</i> , and <i>Marchand v. Barnhill</i> : the duty-to-monitor line governing the standard of care for failure to detect and correct corporate misconduct.
§ 301 <i>Audit committee independence</i>	Audit committees must consist entirely of independent directors and have direct authority over the appointment, compensation, and oversight of the external auditor (Chhaochharia, Grinstein, 2007).	Business judgment rule and <i>Aronson</i> demand-futility doctrine: Delaware’s framework for evaluating the independence of directors in the context of oversight and demand on the board.
§ 806 <i>Whistleblower protection</i>	Federal civil and criminal protection for employees who report accounting irregularities or securities violations to supervisors, the SEC, or Congress.	Chancery Court’s books-and-records remedy (DGCL § 220) and derivative-suit machinery: the principal state-law channels through which employee-level misconduct was surfaced and remedied.

Table 2: Public companies reincorporating from Delaware, 2023–2026. Completed: shareholder approval and effective conversion. Pending: filed or announced proposal not yet completed. Failed: proposal withdrawn or rejected. Market capitalization is Compustat market value of equity (\$M) at the fiscal year-end preceding the proposal year.

Company	Ticker	Proposal date	To	Mkt cap (USD M)	Status
TripAdvisor	TRIP	2023-04-10	NV	\$2,532	Completed
Cannae Holdings	CNNE	2024-04-14	NV	\$1,373	Completed
Fidelity Natl Financial	FNF	2024-04-15	NV	–	Failed
Tesla	TSLA	2024-06-13	TX	\$791,409	Completed
The Trade Desk	TTD	2024-09-23	NV	\$35,182	Completed
Dropbox	DBX	2025-01-31	NV	\$8,889	Completed
Trump Media	DJT	2025-02-21	FL	–	Completed
Simon Property Group	SPG	2025-03-21	IN	–	Completed
Coinbase	COIN	2025-03-26	TX	–	Completed
Tempus AI	TEM	2025-03-28	NV	–	Completed
Roblox	RBLX	2025-04-02	NV	\$38,559	Completed
Sphere Entertainment	SPHR	2025-04-03	NV	\$1,240	Completed
Xoma Royalty	XOMA	2025-04-04	NV	\$314	Completed
MSG Entertainment	MSGE	2025-04-07	NV	–	Completed
MSG Sports	MSGS	2025-04-07	NV	\$4,506	Completed
AMC Networks	AMCX	2025-04-11	NV	\$437	Failed
Affirm Holdings	AFRM	2025-04-21	NV	–	Completed
Dillard’s	DDS	2025-05-01	TX	\$7,448	Completed

Table 3: Pooled OLS regressions of Tobin's q on a Delaware-incorporation indicator, full Compustat sample 1981–1996. Column 1: Delaware only. Column 2: Delaware plus log sales, R&D/assets, current and lagged ROA, year dummies, and two-digit SIC industry dummies. q is the standard ratio $(MVE + AT - CEQ - DT) / AT$, trimmed at the 1/99 percentiles within each fiscal year. Standard errors: two-way (firm $\times$ year) cluster-robust. Sample: Compustat annual file, excluding utilities (SIC 4900–4999) and financials (SIC 6000–6999), retaining firms with ≥ 5 firm-years.

	OLS (1981–1996)	OLS + controls (1981–1996)
Delaware incorporation	0.03 (0.02)	0.08*** (0.02)
Firm size (log of sales)		-0.12*** (0.01)
R&D expense/assets		8.19*** (0.59)
Return on assets (current year)		0.70*** (0.12)
Return on assets (prior year)		-0.65*** (0.17)
Annual dummies	Yes	Yes
Industry dummies	Yes	Yes
Sample size	52,375	52,375
R^2	0.11	0.23

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 4: Annual estimates of the Delaware coefficient from cross-sectional regressions of intangible-adjusted Peters-Taylor total q on Delaware, log sales, R&D/assets, current and lagged ROA, and two-digit SIC industry dummies, full Compustat sample, 1971–2025. Total q follows the [Peters and Taylor \(2017\)](#) perpetual-inventory method, capitalizing R&D and 30% of SG&A with industry-specific depreciation rates. The trimmed column applies a 1/99 trim within each fiscal year; the industry-adjusted column subtracts the three-digit SIC mean q and drops SIC dummies; the winsorized column applies a 5/95 cap within each fiscal year. The right-hand-side controls (log sales, R&D/assets, ROA, lagged ROA) are likewise winsorized at the 5/95 percentiles within each fiscal year. Standard errors: [White \(1980\)](#) robust.

Year	Trimmed (1/99)		Industry-adj.		Winsorized (5/95)		n
	Coef.	p	Coef.	p	Coef.	p	
1971	0.08	0.05	0.06	0.14	0.04	0.22	1,427
1972	0.08	0.06	0.06	0.08	0.05	0.13	1,531
1973	0.05	0.06	0.05	0.03	0.05	0.02	1,631
1974	0.02	0.21	0.02	0.20	0.02	0.08	1,686
1975	0.04	0.02	0.03	0.07	0.03	0.02	1,745
1976	0.01	0.44	0.01	0.36	0.01	0.61	1,765
1977	0.00	0.82	0.01	0.67	0.00	0.71	1,791
1978	0.01	0.53	0.01	0.38	0.01	0.58	1,911
1979	-0.00	0.92	0.00	0.87	0.01	0.68	2,014
1980	-0.01	0.87	0.00	0.94	0.02	0.40	2,133
1981	0.05	0.06	0.05	0.03	0.05	0.03	2,424
1982	0.04	0.18	0.04	0.15	0.03	0.23	2,560
1983	0.05	0.12	0.05	0.10	0.04	0.07	2,812
1984	0.04	0.06	0.04	0.08	0.04	0.03	3,016
1985	0.07	0.00	0.06	0.02	0.06	0.01	3,154
1986	0.09	0.00	0.06	0.02	0.06	0.00	3,372
1987	0.07	0.00	0.06	0.01	0.06	0.00	3,403
1988	0.07	0.00	0.05	0.01	0.06	0.00	3,346
1989	0.06	0.01	0.05	0.04	0.05	0.01	3,251
1990	0.08	0.00	0.07	0.00	0.08	0.00	3,232
1991	0.12	0.00	0.10	0.00	0.10	0.00	3,329
1992	0.07	0.01	0.06	0.02	0.06	0.01	3,447
1993	0.08	0.00	0.08	0.00	0.07	0.00	3,634
1994	0.05	0.01	0.06	0.01	0.05	0.02	3,746
1995	0.04	0.13	0.03	0.22	0.04	0.11	4,032
1996	0.04	0.19	0.02	0.44	0.03	0.17	4,227
1997	0.03	0.18	0.03	0.30	0.02	0.31	4,249
1998	-0.00	0.98	-0.01	0.79	0.01	0.75	4,125
1999	0.08	0.06	0.04	0.30	0.07	0.06	3,994
2000	0.06	0.09	0.04	0.23	0.06	0.02	3,888
2001	0.06	0.07	0.03	0.31	0.05	0.05	3,677
2002	0.01	0.77	-0.01	0.59	0.02	0.37	3,514

Continued on next page

Year	Trimmed (1/99)		Industry-adj.		Winsorized (5/95)		<i>n</i>
	Coef.	<i>p</i>	Coef.	<i>p</i>	Coef.	<i>p</i>	
2003	0.03	0.51	-0.00	0.90	0.04	0.18	3,358
2004	-0.02	0.68	-0.03	0.38	0.02	0.50	3,281
2005	-0.01	0.85	-0.04	0.30	0.01	0.75	3,160
2006	0.02	0.59	-0.00	1.00	0.02	0.48	3,092
2007	-0.01	0.89	-0.02	0.48	-0.01	0.83	2,962
2008	-0.06	0.04	-0.06	0.02	-0.04	0.04	2,835
2009	-0.04	0.20	-0.04	0.12	-0.03	0.24	2,745
2010	-0.00	0.93	-0.01	0.85	-0.00	0.95	2,656
2011	-0.03	0.36	-0.03	0.35	-0.02	0.45	2,556
2012	-0.00	0.99	-0.00	0.93	-0.00	0.98	2,478
2013	0.00	0.95	-0.00	0.99	0.01	0.78	2,468
2014	-0.01	0.81	-0.02	0.60	0.00	0.91	2,485
2015	-0.03	0.57	-0.04	0.38	-0.01	0.82	2,427
2016	-0.09	0.06	-0.08	0.07	-0.06	0.11	2,370
2017	-0.21	0.00	-0.18	0.00	-0.13	0.00	2,298
2018	-0.13	0.02	-0.12	0.02	-0.11	0.01	2,273
2019	-0.04	0.44	-0.04	0.44	-0.06	0.17	2,213
2020	-0.14	0.11	-0.14	0.09	-0.07	0.28	2,185
2021	0.02	0.81	0.01	0.85	0.02	0.78	2,206
2022	-0.03	0.45	-0.01	0.88	-0.02	0.58	2,125
2023	-0.02	0.68	0.00	0.96	-0.02	0.63	2,015
2024	-0.01	0.85	0.00	0.93	-0.00	0.96	1,890
2025	0.08	0.18	0.10	0.05	0.07	0.16	1,318

Table 5: M&A regressions on the SDC Platinum US-target sample, 1985–2021. Columns 1–2: firm-year-level OLS of $\mathbf{1}\{i \text{ is a control-change target in year } t\}$ (column 1) and $\mathbf{1}\{i \text{ is an acquirer in year } t\}$ (column 2) on a Delaware indicator, a post-2002 indicator, their interaction, log assets, ROA, and SIC2 fixed effects. Columns 3–5: deal-level OLS of the withdrawn-deal indicator (column 3), log days-to-close (column 4), and defensive-tactic indicator (column 5) on the same right-hand side. Target indicator restricted to control-changing deal forms (Merger, Acq. Maj. Int., Acq. Rem. Int., Acquisition, Exchange Offer) with $\geq 50\%$ of shares acquired; acquirer indicator excludes own-share buybacks. Standard errors: [White \(1980\)](#) robust.

	Pr(target)	Pr(acquirer)	Pr(withdrawn)	Log days-to-close	Pr(defense used)
Delaware	0.00** (0.00)	0.02*** (0.00)	0.03*** (0.01)	-0.04 (0.04)	-0.03** (0.01)
Post-2002	-0.02*** (0.00)	-0.06*** (0.01)	-0.11*** (0.03)	-0.11** (0.05)	-0.15*** (0.03)
Delaware $\times$ Post-2002	-0.00* (0.00)	-0.03*** (0.01)	-0.01 (0.01)	0.08 (0.05)	0.03* (0.02)
Log(assets)	0.01*** (0.00)	0.06*** (0.00)			
Log(transaction value)			-0.01* (0.00)	0.04*** (0.01)	0.02*** (0.00)
ROA	-0.04*** (0.00)	-0.00 (0.01)			
Sample size	117,102	117,102	5,388	3,773	5,388
R^2	0.03	0.12	0.04	0.07	0.08

Standard errors in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$. Defense flag: SDC composite indicator that any defensive tactic was deployed.

Table 6: Size-controlled Delaware effect across the SOX-enactment dose-response. Each row reports the Delaware coefficient β (in percentage points) from a single cross-sectional regression $CAAR_i = \beta \text{Delaware}_i + \gamma' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $CAAR_i$ is firm i 's cumulative industry-adjusted (two-digit-SIC-mean-benchmarked) abnormal return measured over the window named in the *Measurement window* column, X_i collects $\log(\text{sales})$, $\text{R\&D/assets}$, current and lagged ROA, and δ_{SIC2} are two-digit-SIC fixed effects; White (1980) heteroskedasticity-robust standard errors in parentheses. The *Measurement window* column makes each row's horizon explicit: the three dated rows (House, WorldCom, Enron) use a $[-10, +10]$ trading-day window centered on the event, rebaselined to zero at $t = -1$, and report the cumulative effect at $t = +10$; the two "enactment episode" rows are read off the single March 1–December 31, 2002 episode path (rebaselined at June 24, 2002, the day before WorldCom's disclosure) and report the cumulative effect on the stated calendar date. Industry benchmark uses the full CRSP common-stock universe; firm characteristics are from the last fiscal year before the event; dot-com firms excluded.

Event	Date	Measurement window	N	DE effect (pp)
Enron Q3 shock	Oct 16, 2001	$[-10, +10]$	2,909	-0.00 (0.60)
House passes weak Oxley bill	Apr 24, 2002	$[-10, +10]$	2,816	-0.03 (0.50)
WorldCom–Xerox–SEC cascade	Jun 25–Jul 1, 2002	$[-10, +10]$	2,801	-1.50*** (0.54)
SOX signing	Jul 30, 2002	Mar 1–Dec 31, 2002 episode	2,676	-1.72** (0.73)
Episode year-end	Dec 31, 2002	Mar 1–Dec 31, 2002 episode	2,676	-3.82** (1.72)

Table 7: Heterogeneity moderators: the Delaware-premium erosion summary. Each row reports the Delaware $\times$ Moderator $\times$ Post₂₀₀₂ triple-difference from one pooled OLS estimated identically across moderators (only the sample and moderator variable differ); q is intangible-adjusted Peters-Taylor q winsorized 5/95 within fiscal year, with two-way firm $\times$ year cluster-robust standard errors. Moderators are coded so the “= 1” group is the hypothesized erosion group, so a negative coefficient indicates the Delaware premium fell more for that group after SOX. Full per-period tables for size, listing venue, and material weakness appear in Tables 8–10; analogous tables for the remaining moderators are in Appendix B.

Moderator	Interacted (=1) group	DE $\times$ Mod $\times$ Post	N	R^2
Firm size	Small	-0.15*** (0.04)	133,828	0.09
Firm size (continuous)	$z(\log \text{Sales})$	+0.11*** (0.02)	133,828	0.09
Institutional ownership	High IO	+0.02 (0.05)	60,553	0.12
Inst. ownership (cont.)	$z(\text{InstOwn})$	+0.01 (0.03)	60,553	0.12
Listing venue	Non-major-exchange	-0.14*** (0.05)	133,828	0.09
Controlled (EDGAR)	Non-controlled	-0.09 (0.08)	133,828	0.08
Dual-class	Single-class	-0.02 (0.08)	133,828	0.08
SOX 404 material weakness	Material weakness	-0.09* (0.05)	87,998	0.08
SOX 404 audit-fee shock	High fee shock	+0.02 (0.06)	87,998	0.08
Accelerated filer	Accelerated	+0.03 (0.06)	87,998	0.08

Note: Each row is the Delaware $\times$ Moderator $\times$ Post₂₀₀₂ triple-difference from one pooled OLS, $Q \sim \text{Delaware} + \text{Mod} + \text{Delaware:Mod} + \text{Delaware:Post} + \text{Mod:Post} + \text{Delaware:Mod:Post} + \text{controls} + \text{C(sic2)} + \text{C(fyear)}$, estimated identically for every moderator (only the sample and the moderator variable differ); Q is intangible-adjusted Peters-Taylor q (5/95-winsorized within fiscal year); two-way firm $\times$ year cluster-robust SEs in parentheses. Moderators are coded so the “= 1 group is the hypothesized erosion group. Size rows omit $\log(\text{Sales})$ from the controls (it defines the moderator); the institutional-ownership rows use the 1999–2025 13F-coverage sample and the SOX-404 rows the population of 404 filers. The full per-period tables are in the appendix. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 8: Delaware premium by firm size. Small_{it} is 1 if a firm-year's $\log(\text{sales})$ is below the within-year median across the sample, 0 otherwise. Panel A: pooled OLS with the Delaware $\times$ Small interaction by period (pre-SOX 1981–2001, post-SOX 2002–2025, full 1981–2025). Panel B: triple-difference Delaware $\times$ Small $\times$ Post₂₀₀₂. All regressions include year and two-digit SIC fixed effects plus the standard controls (R&D/AT, ROA, lagged ROA); $\log(\text{sales})$ is the size moderator and is omitted from the controls. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Small interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.023 (0.015)	+0.016 (0.028)	+0.028* (0.017)
Small	+0.032 (0.038)	-0.096*** (0.035)	-0.015 (0.028)
DE $\times$ Small	+0.026 (0.022)	-0.075** (0.037)	-0.035 (0.024)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,918	60,910	133,828
R^2	0.088	0.091	0.081

Panel B: Triple-difference	
	Coefficient
Delaware	+0.012 (0.015)
Small	+0.016 (0.028)
DE $\times$ Small	+0.045** (0.020)
DE $\times$ Post-2002	+0.002 (0.029)
Small $\times$ Post-2002	-0.083* (0.045)
DE $\times$ Small $\times$ Post-2002	-0.153*** (0.041)
Controls	Yes
Industry FE	Yes
N	151,462
R^2	0.107

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 9: Delaware premium by listing venue. STKO is the Compustat stock-ownership code: major-exchange firms (STKO= 0; NYSE, AMEX, NASDAQ) and non-major-exchange firms (STKO $\neq$ 0; OTC / pink-sheet). The interacted group is non-major-exchange firms, whose weaker disclosure and monitoring environment makes them more reliant on Delaware law and hence the eroding group. Panel A: pooled OLS with the Delaware $\times$ NonMajorExchange interaction by period (pre-SOX 1981–2001, post-SOX 2002–2025, full sample). Panel B: triple-difference Delaware $\times$ NonMajorExchange $\times$ Post₂₀₀₂. Year and two-digit SIC fixed effects plus the standard controls (log sales, R&D/assets, ROA, lagged ROA). Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Non-major-exchange interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.06*** (0.02)	+0.02 (0.03)	+0.04** (0.02)
Non-major-exchange	-0.07*** (0.02)	-0.01 (0.05)	-0.05** (0.03)
DE $\times$ Non-major-exchange	+0.00 (0.03)	-0.19*** (0.06)	-0.08** (0.03)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,892	60,835	133,727
R^2	0.09	0.07	0.07

Panel B: Triple-difference	
	Coefficient
Delaware	+0.06*** (0.02)
Non-major-exchange	-0.06*** (0.02)
DE $\times$ Non-major-exchange	-0.00 (0.03)
DE $\times$ Post-2002	-0.04 (0.03)
Non-major-exchange $\times$ Post-2002	+0.02 (0.05)
DE $\times$ Non-major-exchange $\times$ Post-2002	-0.18*** (0.06)
Controls	Yes
Industry FE	Yes
N	133,727
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table 10: Delaware premium and SOX 404 internal-control intensity. The SOX-impact moderator is $\text{MaterialWeakness}_i$, equal to 1 if firm i ever disclosed at least one Sarbanes-Oxley Section 404 internal-control material weakness in its audit-opinion history (Audit Analytics), 0 otherwise; the flag is a fixed firm characteristic applied to all firm-years, paralleling the dual-class and controlled-company splits. The sample is the population of firms that survived to file at least one 404 internal-control opinion (first filings cluster 2004–2008). Panel A: pooled OLS with the Delaware $\times$ MaterialWeakness interaction by period (pre-SOX 1981–2001, post-SOX 2002–2025, full 1981–2025). Panel B: triple-difference Delaware $\times$ MaterialWeakness $\times$ Post₂₀₀₂. All regressions include log sales, R&D/assets, current and lagged ROA, and year and two-digit SIC fixed effects. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Material weakness interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.098*** (0.034)	+0.045 (0.036)	+0.063** (0.029)
Material weakness	-0.052 (0.039)	-0.025 (0.043)	-0.031 (0.034)
DE $\times$ Material weakness	-0.026 (0.050)	-0.143*** (0.051)	-0.108*** (0.042)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	31,149	56,849	87,998
R^2	0.090	0.070	0.064

Panel B: Triple-difference	
	Coefficient
Delaware	+0.070** (0.034)
Material weakness	-0.060 (0.038)
DE $\times$ Material weakness	-0.006 (0.048)
DE $\times$ Post-2002	-0.027 (0.044)
Material weakness $\times$ Post-2002	+0.030 (0.054)
DE $\times$ Material weakness $\times$ Post-2002	-0.134** (0.060)
Controls	Yes
Industry FE	Yes
N	93,791
R^2	0.073

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Figure 1: Delaware’s market share of public corporations, 1971–2025. (A) Delaware share of Compustat firm-years (excluding utilities, SIC 4900–4999, and financials, SIC 6000–6999); dashed vertical lines mark Sarbanes-Oxley (2002) and the SEC universal proxy card rule (2022). (B) Delaware share of new Compustat entrants, defined as firms in the first year of their Compustat record; series ends in 2021 due to incomplete coverage of recent entrants; dashed vertical line marks Sarbanes-Oxley (2002). Source: Compustat annual.

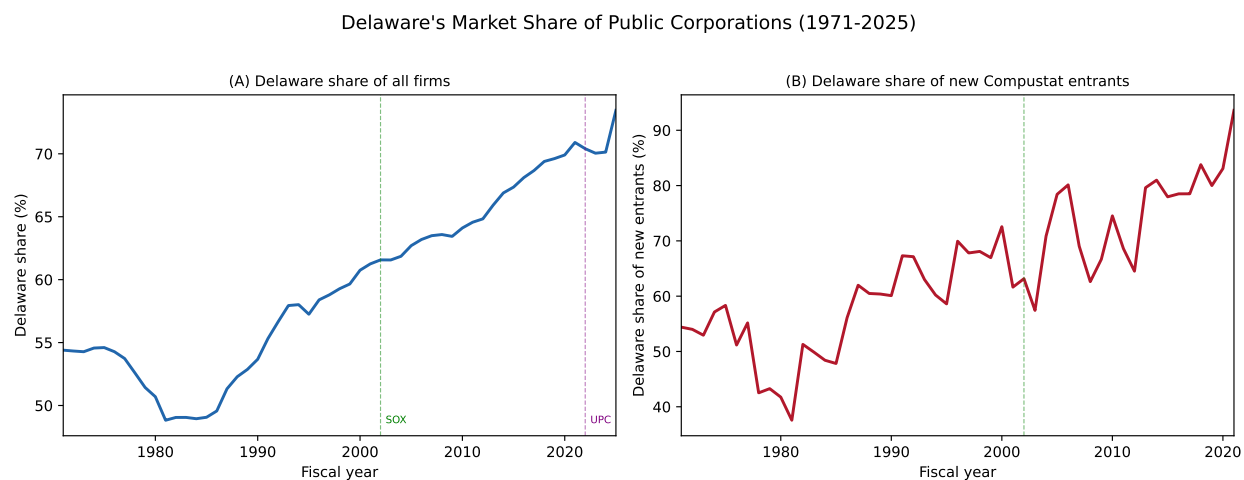


Figure 2: Public companies leaving Delaware, 2023–2026. Each marker is a reincorporation proposal or completed move. Color: destination state. Shape: outcome (circles, completed; triangles, pending; X, failed). Vertical dashed lines: the Chancery Court’s voiding of Musk’s compensation (January 2024) and the signing of SB 21 (March 2025). Source: SEC 8-K filings, proxy statements, news sources.

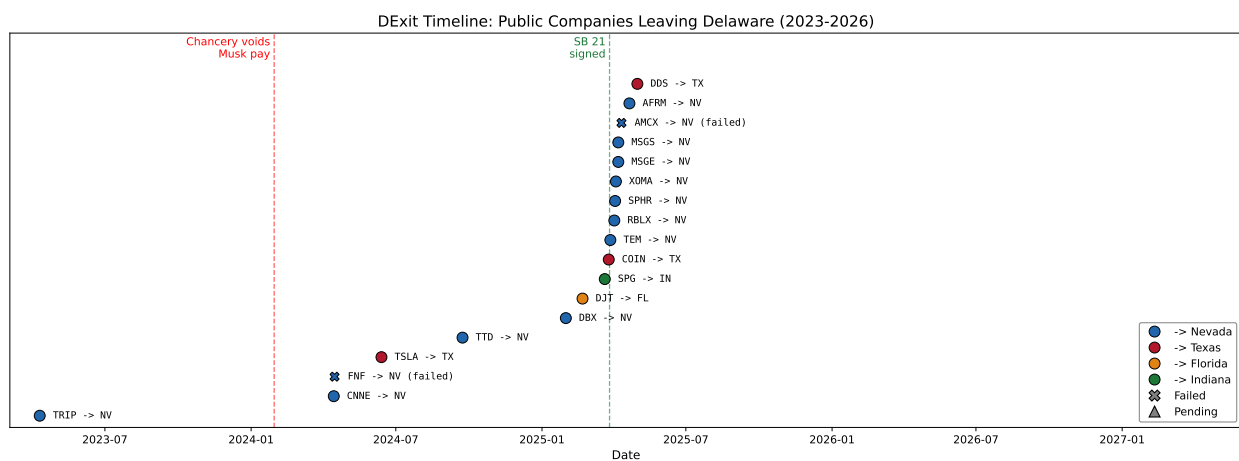


Figure 3: OLS Delaware coefficient from annual cross-sectional regressions of Tobin's q on Delaware, log sales, R&D/assets, ROA, lagged ROA, and two-digit SIC dummies (full Computat sample, 1971–2025). Shaded bands: 95% CI (White (1980) robust SE). Industry-adjusted specification subtracts three-digit SIC mean q and drops SIC dummies. Yellow band: Daines (2001) sample period (1981–1996).

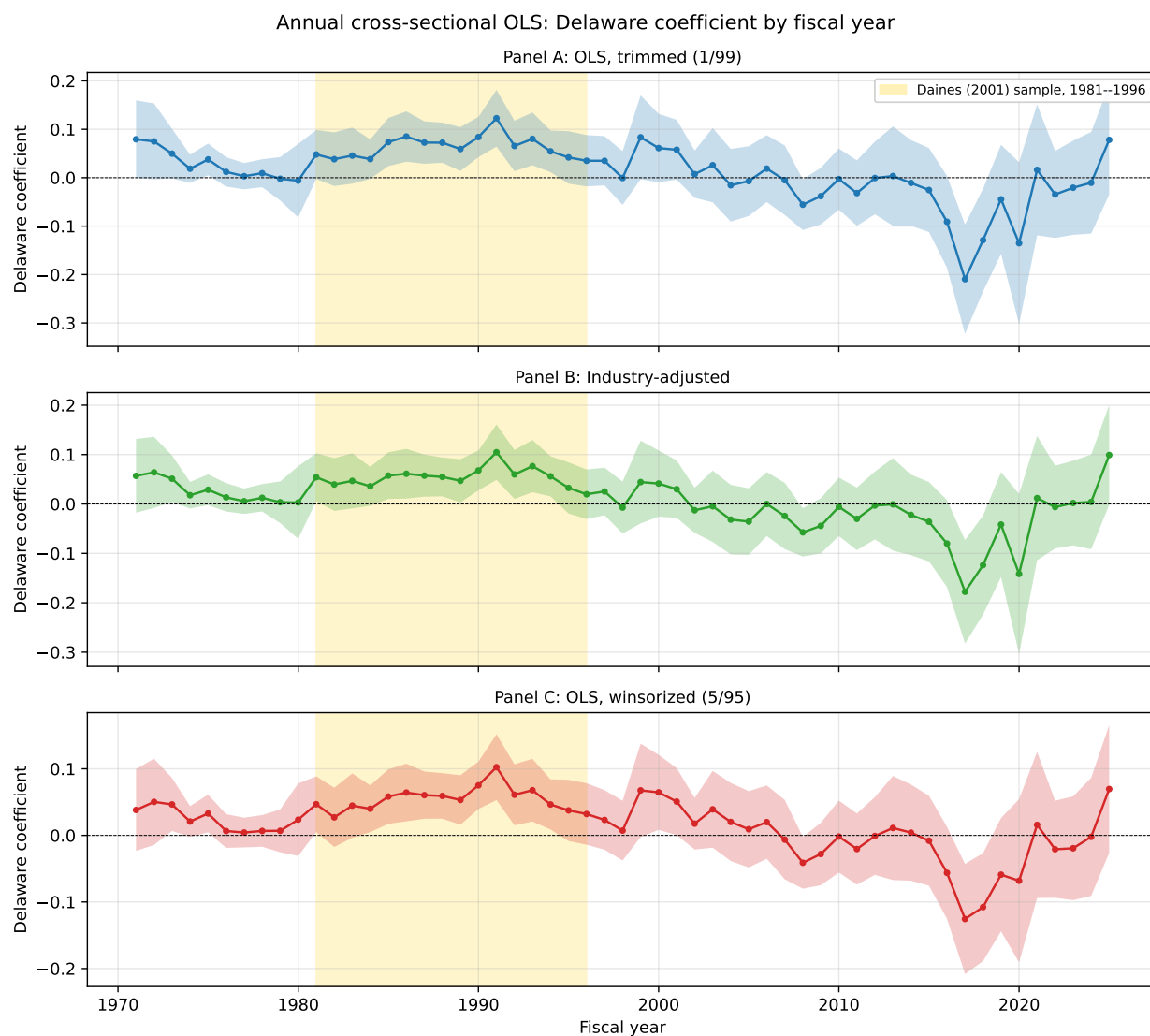


Figure 4: Delaware M&A propensity and the Tobin’s q premium, rebaselined to 2001. Both series are plotted as deviations from their 2001 value, so the post-SOX “step” reads off zero. Left axis: the per-year cross-sectional Delaware coefficient on the probability of being a control-changing M&A *target* (solid) and an *acquirer* (dashed), in percentage points, from per-year cross-sectional regressions of M&A propensity on Delaware, log assets, ROA, and SIC2 fixed effects. Right axis: the per-year Delaware Tobin’s q premium (the winsorized intangible-adjusted specification from Table 4). Yellow band: the Daines (2001) window; dotted line: SOX (2002). The figure shows the erosion of Delaware’s M&A-deal-flow franchise tracking the contemporaneous decline in the Delaware valuation premium. Source: SDC Platinum; Compustat annual.

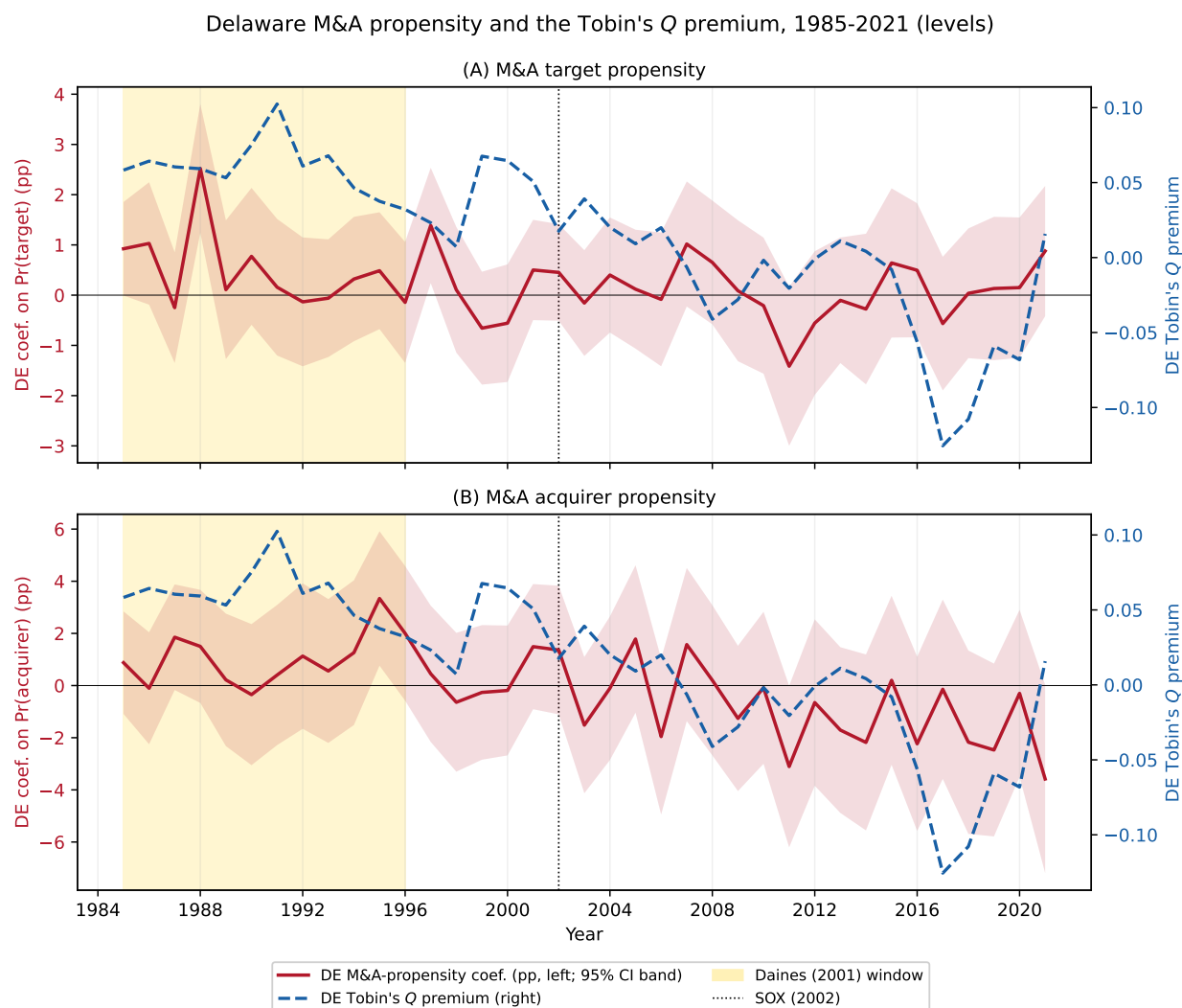


Figure 5: Three-panel comparison of the Delaware q premium and Google Books Ngram frequencies, 1971–2019. Top panel: annual Delaware coefficient from cross-sectional regressions of intangible-adjusted Tobin’s q (winsorized 5/95-within-year specification from Table 4). Middle panel: annual Google Books Ngram frequency (parts per billion) for the composite “Delaware Court of Chancery” / “Delaware Chancery” (left axis, blue) and “Sarbanes-Oxley” (right axis, orange). Bottom panel: SOX’s share of cumulative Ngram attention, defined as $\text{cum SOX}_t / (\text{cum SOX}_t + \text{cum DE Chancery}_t)$; dotted horizontal line at 50%. Dashed vertical line: 2002 (SOX enacted). Source: Google Books Ngram Viewer; author’s calculations.

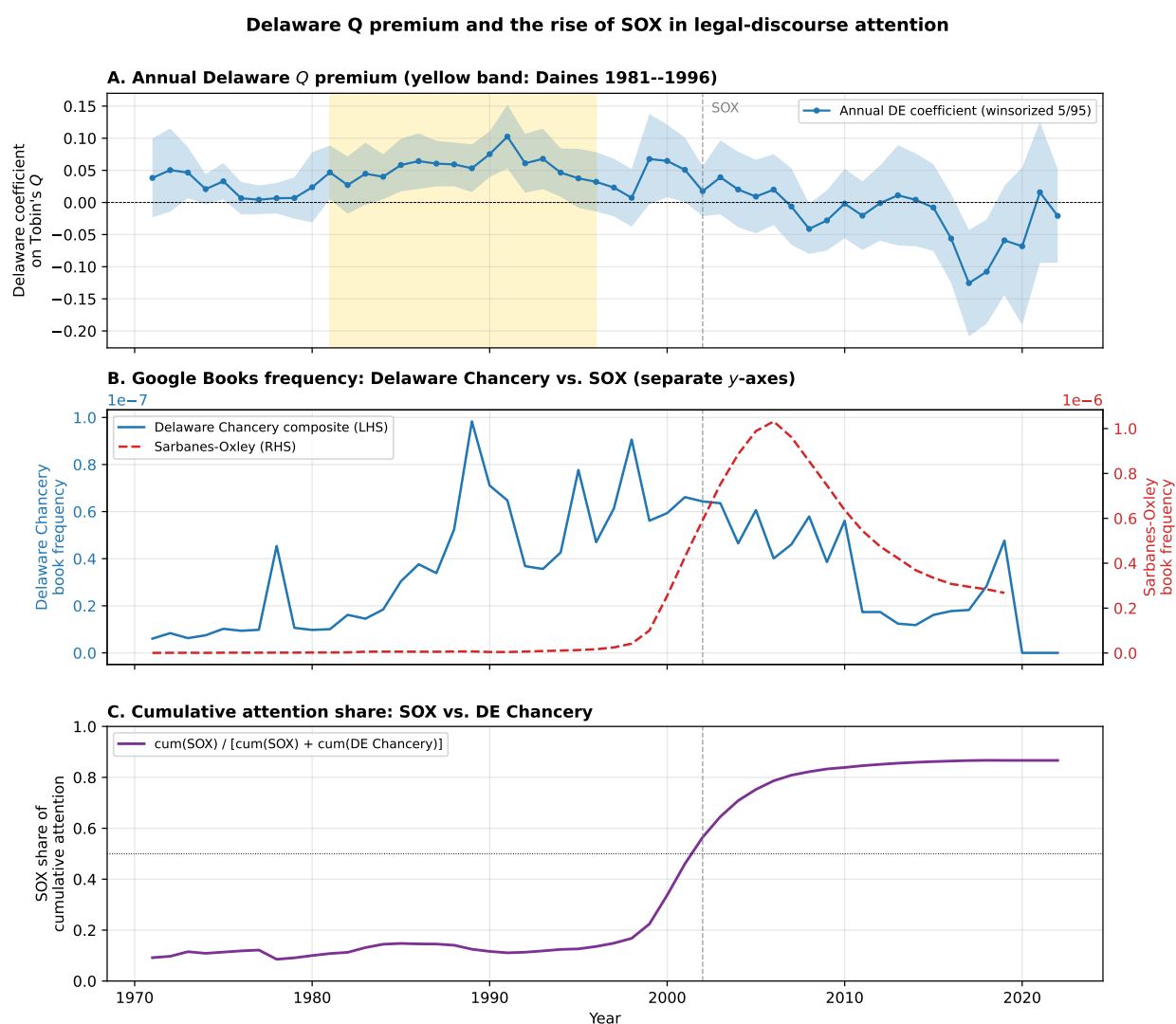


Figure 6: Monthly Google Trends search interest for the Court of Chancery, 2004–2026. Bars: composite index, defined as the per-month sum of the Google Trends indices for the queries “Delaware Court of Chancery” and “Delaware Chancery Court”. Solid line: 12-month trailing moving average. Dashed vertical lines mark *Twitter v. Musk* filed in Chancery (July 2022), the Chancery voiding of Musk’s \$56B Tesla compensation (January 2024), SB 21 signed into law (March 2025), and the Delaware Supreme Court reversal of the pay ruling (December 2025). Source: Google Trends.

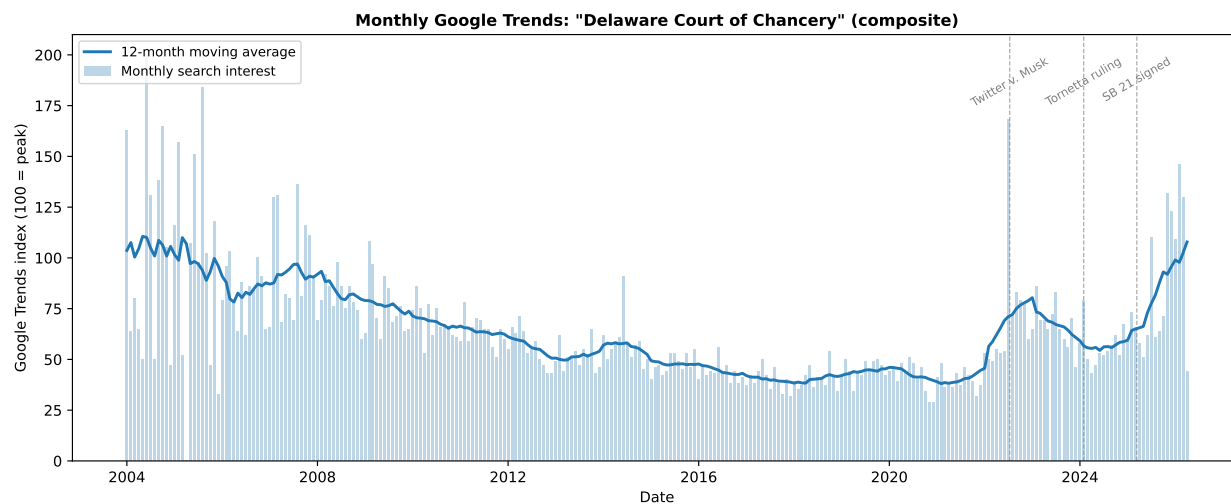


Figure 7: Weekly Google Trends search interest for the Court of Chancery, 2020–2025. Bars: weekly composite index, defined as the per-week sum of the Google Trends indices for the queries “Delaware Chancery Court” and “Delaware Court of Chancery”. Solid line: 12-week centered moving average. Dashed vertical lines mark the Twitter v. Musk filing (July 2022), the Chancery voiding of Musk’s \$56B pay (January 2024), and SB 21 signed into law (March 2025). Source: Google Trends.

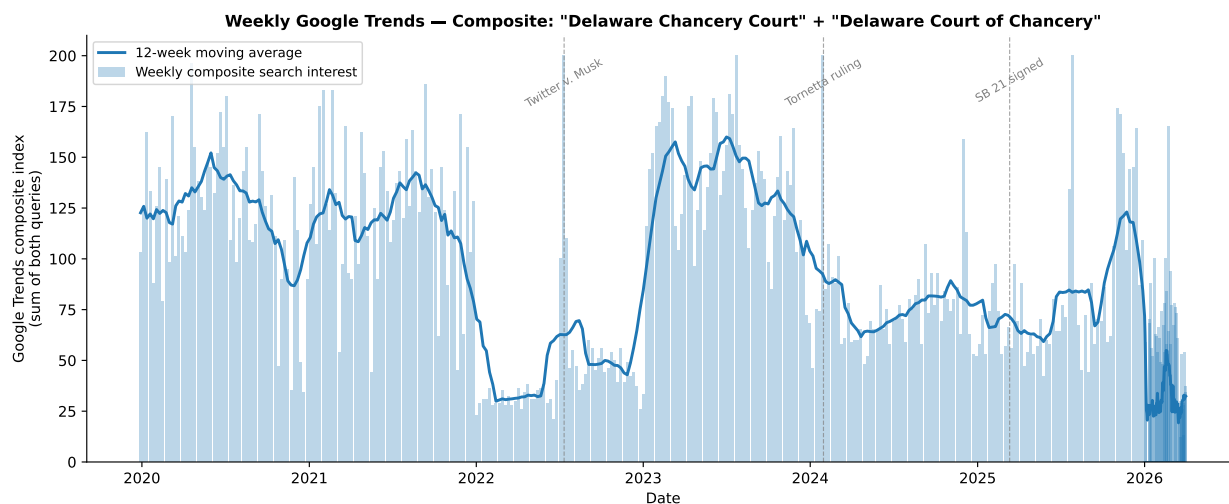


Figure 8: Size-controlled Delaware effect across the SOX-enactment episode, March 1–December 31, 2002. The line plots the Delaware coefficient β (percentage points) from the per-horizon cross-sectional regression $CAAR_i(t) = \beta \text{Delaware}_i + \gamma' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $CAAR_i(t)$ is firm i 's cumulative industry-adjusted (two-digit-SIC-mean-benchmarked) abnormal return at trading day t , rebaselined to zero at June 24, 2002 (the day before WorldCom's disclosure); X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit-SIC fixed effects; White (1980) heteroskedasticity-robust standard errors, shaded 95% band. The shaded vertical band marks the WorldCom (June 25)–Xerox (June 28)–SEC-rebuke (July 1) cascade; dashed markers denote the Tyco/Kozlowski indictment (June 3), the Senate's 97–0 vote (July 15), the signing (July 30), and the October 9 market bottom. Pre-baseline points serve as a parallel-trends check. Industry benchmark uses the full CRSP common-stock universe; dot-com firms excluded.

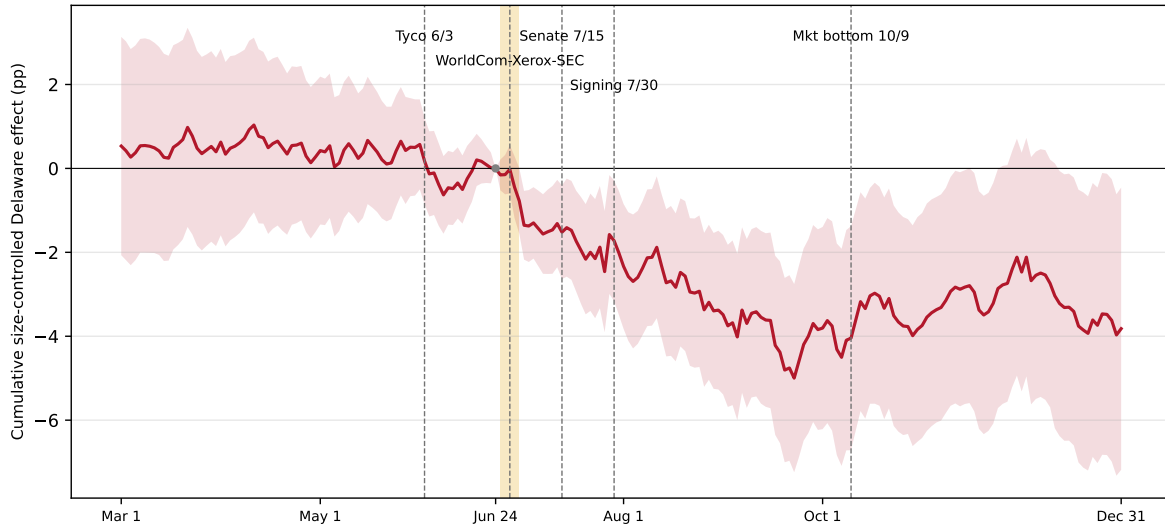


Figure 9: Weak-bill null: size-controlled Delaware effect around the House passage of the (weaker) Oxley bill (April 24, 2002), over a $[-10, +10]$ trading-day window with the axis dated to calendar days. Same per-horizon regression as Figure 8 ($CAAR_i(t)$ on Delaware, log sales, R&D/assets, current and lagged ROA, and two-digit-SIC fixed effects; [White \(1980\)](#) robust; shaded 95% band), with CAAR rebaselined at $t = -1$. Before strong reform looked likely, Delaware charters are not differentially repriced. Dot-com firms excluded.

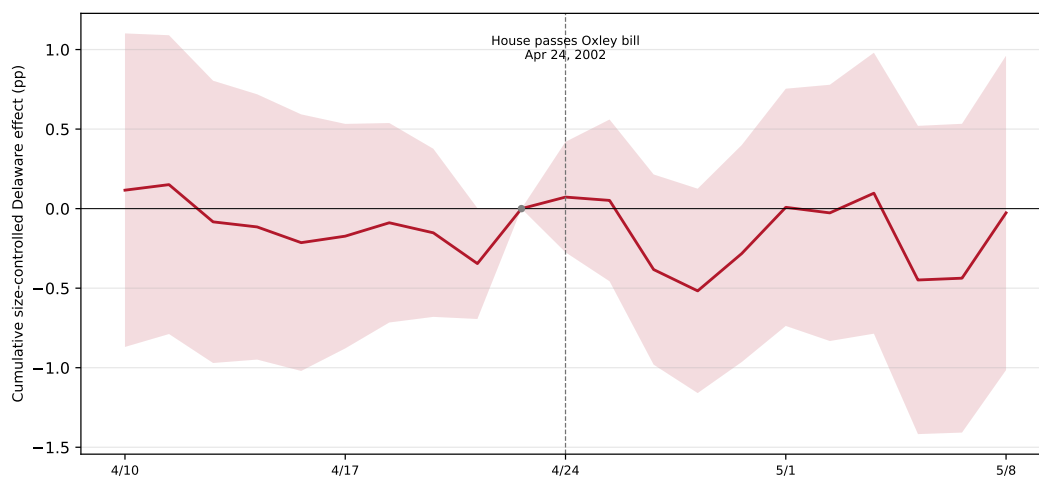


Figure 10: Size-controlled Delaware effect around the Enron third-quarter shock (October 16, 2001), over a $[-10, +10]$ trading-day window with the axis dated to calendar days. Same per-horizon regression as Figure 8 ($CAAR_i(t)$ on Delaware, log sales, R&D/assets, current and lagged ROA, and two-digit-SIC fixed effects; White (1980) robust; shaded 95% band), with CAAR rebaselined at $t = -1$. The Enron shock set off the scandal sequence and could plausibly have repriced Delaware charters; in the event it does not—the Delaware coefficient is a weak null, flat at zero. Dot-com firms excluded.

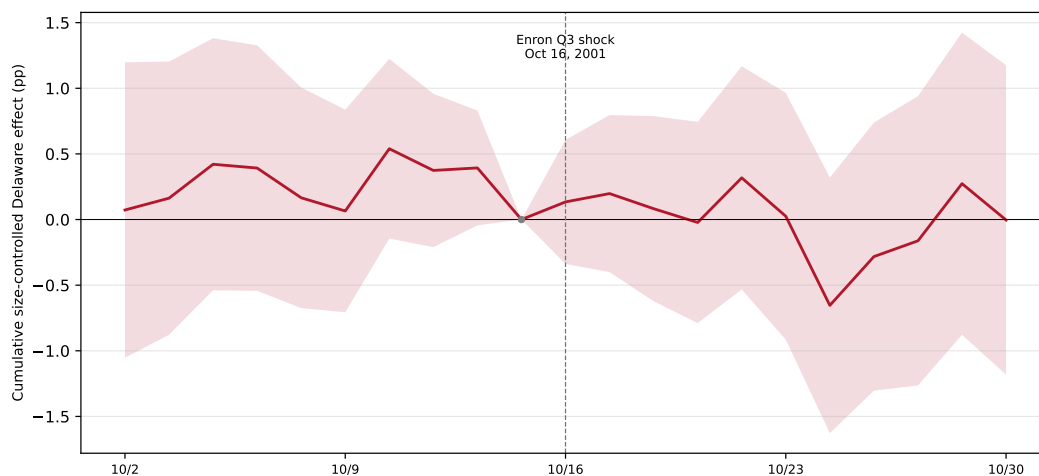


Figure 11: Randomization (placebo-date) test. Histogram of the +10-day size-controlled Delaware effect estimated on 150 arbitrary pseudo-event dates drawn (seed 42, without replacement) from 2001–2002 trading days that lie more than twelve trading days from any real SOX/scandal date. For each date the statistic is the Delaware coefficient β (percentage points) from the cross-sectional regression $CAAR_i(+10) = \beta \text{ Delaware}_i + \gamma' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $CAAR_i(+10)$ is firm i 's cumulative industry-adjusted abnormal return from $t = 0$ to $t = +10$ (rebaselined at $t = -1$), X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit-SIC fixed effects; [White \(1980\)](#) robust standard errors. The five real events are placed on the same axis by the identical design. The distribution is centred near zero and the WorldCom-cascade value sits in the extreme left tail (placebo $p = 0.01$), with the signing also in the tail ($p = 0.07$) and the House vote, the Enron shock, and the Senate vote in the bulk ($p = 0.62, 0.64, 0.67$). Because the pseudo-date population is full of turbulent days, this shows the enactment discount is not an artifact of generic market chaos. Dot-com firms excluded.

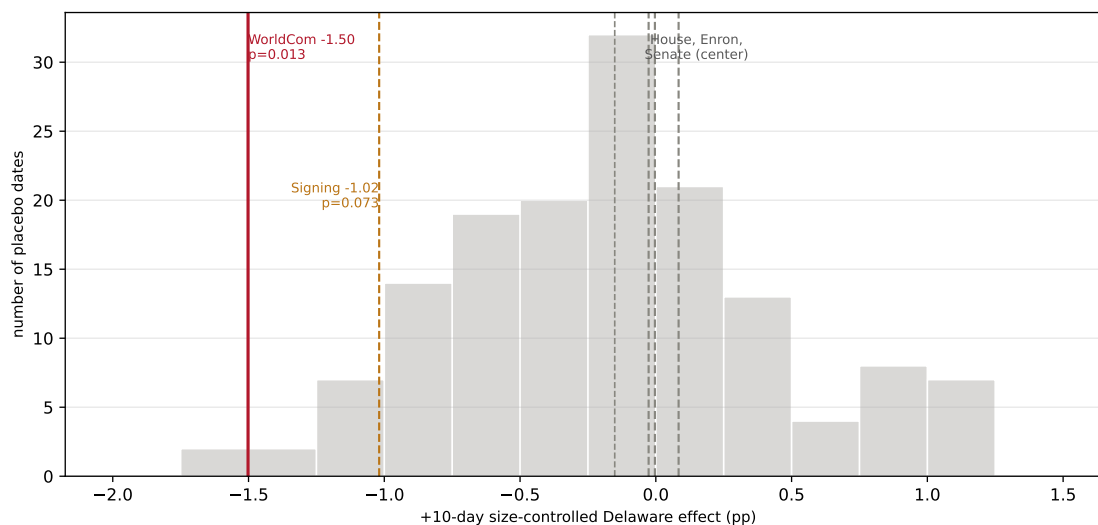


Figure 12: Composition of the DExit cohort: who leaves Delaware? Median Tobin’s q , market capitalization (\$M), leverage (debt/assets), and firm age (years in Compustat) for completed DExit firms—each measured the fiscal year before its reincorporation proposal—against all Delaware-incorporated firms and all non-Delaware firms in 2022–2024. DExit firms are markedly higher- q and larger than the typical Delaware firm, underscoring that they are a self-selected, non-representative slice of the Delaware corporate population. Source: Compustat annual; DExit firm catalog.

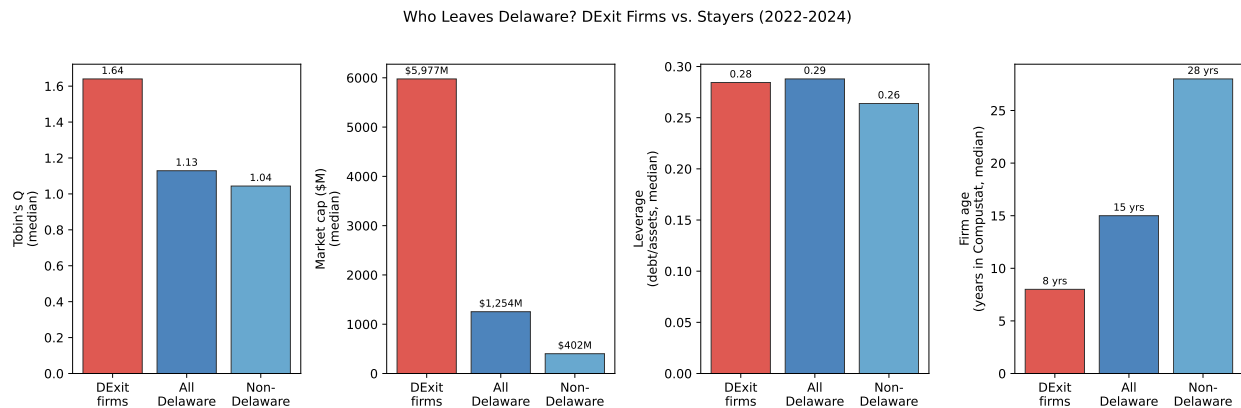


Figure 13: Aggregated daily cumulative abnormal returns (CARs) around DExit proposal announcements, ± 20 trading days, all 18 DExit firms. Daily prices: CRSP daily where available, Yahoo Finance for the recently-IPO'd firms missing from our 2024 CRSP-daily extract. Abnormal-return benchmark: SIC-2-adjusted CRSP daily mean for the CRSP-covered firms; SPY ETF total return for the Yahoo-covered firms. CARs are rebaselined to zero at $t = -1$ (the day before the proposal). Solid line: mean CAR across DExit firms. Shaded band: ± 1.96 SE. Per-firm CARs are reported in Appendix Figure 15. Source: CRSP daily; Yahoo Finance.

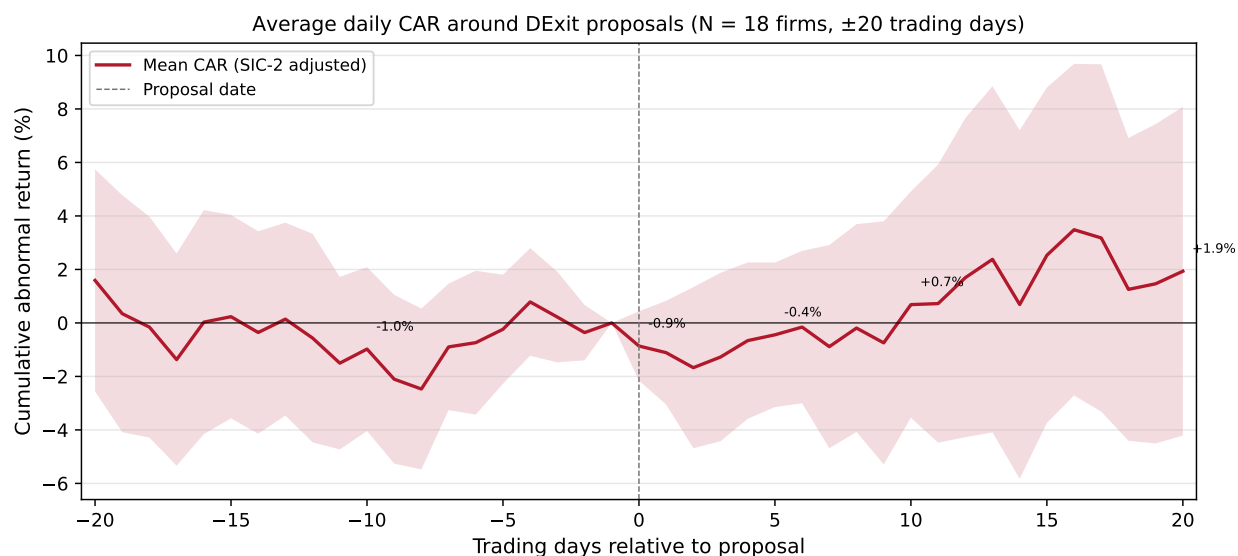


Figure 14: Synthetic-control estimates of the effect of leaving Delaware on Tobin’s q , quarterly panel. For each completed DExit switcher a synthetic control is built with `pysyncon` from a donor pool of Delaware-incorporated stayers in the same two-digit SIC, choosing donor weights to match the switcher on the body controls (log sales, R&D/assets, ROA) and on pre-proposal Tobin’s q —both the pre-window average and the last pre-proposal quarter—over up to twelve pre-proposal quarters (as many as are available). Before each fit the donor pool is restricted to stayers with data for every quarter the switcher has (pre and post) and screened to the forty closest in pre-window average q . Because this is a descriptive exercise about the switchers themselves, it is run on the full firm universe—the body sample’s dot-com and financial/utility exclusions are not applied. Panel (A) plots the mean treated-minus-synthetic q gap across switchers (with a ± 1.96 SE band); Panel (B) plots the median (with an interquartile band); $\tau = 0$ is the proposal quarter. Both restrict to switchers whose pre-fit RMSPE is at most twice the median, and the aggregate is shown only for event-times with at least five contributing switchers (per- τ counts annotated): at longer post-horizons only a few older, low- q switchers have data, so the unrestricted tail would reflect sample composition rather than a within-firm change. Per-switcher fits, covariate balance, and donor portfolio weights are in Appendix D. Source: Compustat quarterly; DExit catalog.



A Appendix

Figure 15: Per-firm daily SIC-2-adjusted cumulative abnormal returns (CARs) over ± 20 trading days around the DEXit proposal date (red dashed line). Abnormal returns: firm daily return minus the equal-weighted mean return of all CRSP firms in the same two-digit SIC industry that day. CARs cumulate from $t = -20$. Firms labelled “FAILED” did not complete reincorporation. Source: CRSP daily.



Figure 16: Median (quantile-regression) version of Figure 8. Same window (March 1–December 31, 2002), same baseline (June 24, 2002), same markers and ticks; only the per-day estimator changes. Each point is the Delaware coefficient (in percentage points) from the cross-sectional *median* regression $\text{Median}[\text{CAAR}_i(t) \mid \cdot] = \beta \text{Delaware}_i + \gamma' X_i + \delta_{\text{SIC2}}$, where X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit-SIC fixed effects; standard errors from the QuantReg sandwich (Hall–Sheather bandwidth), shaded 95% band. Estimating the cross-sectional *median* effect at each horizon, rather than the OLS mean, the path is immune to a handful of extreme firm-day abnormal-return realizations driving the body coefficient. Amber band: the WorldCom–Xerox–SEC cascade; dashed lines mark the WorldCom disclosure (6/25) and the signing (7/30). Dot-com firms excluded.

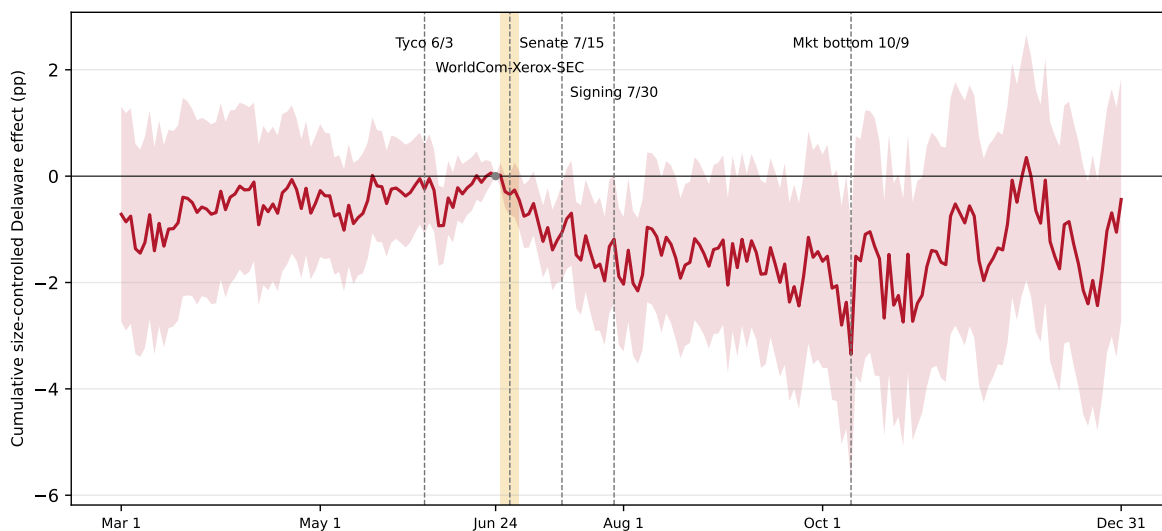
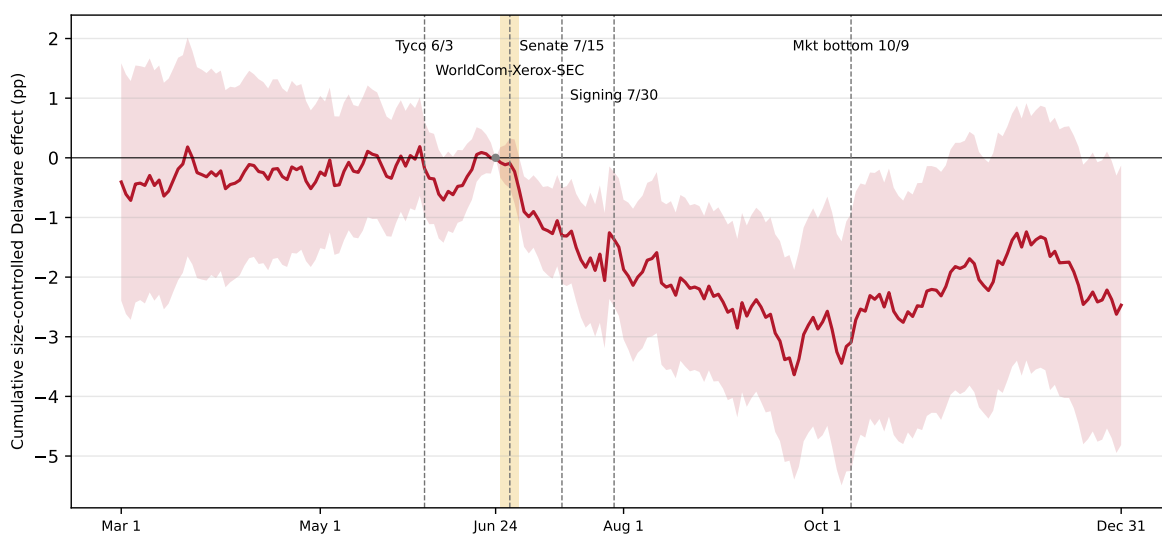


Figure 17: Winsorized-returns version of Figure 8. Same window, baseline, markers, and ticks as the body figure; same OLS specification (cross-sectional $CAAR_i(t) = \beta \text{Delaware}_i + \gamma' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, [White \(1980\)](#) robust standard errors), except the left-hand-side $CAAR_i(t)$ is winsorized at the 5th and 95th percentile of the horizon- t cross-section before fitting. Capping the tails directly addresses the concern that a handful of extreme firm-day realizations drive the body coefficient. Amber band: the WorldCom–Xerox–SEC cascade; dashed lines mark the WorldCom disclosure (6/25) and the signing (7/30). Dot-com firms excluded.



B Heterogeneity moderators: per-period tables and split figures

This appendix collects full per-period split tables (Panel A interaction by period; Panel B triple-difference) for the heterogeneity moderators whose summary triple-difference appears in Table 7 but whose detailed tables are not in the main text. Tables 8, 9, and 10 (size, listing venue, and material weakness) appear in the main text. The remaining moderators are reported here: size, continuous specification (Table 11); institutional ownership, binary split (Table 12) and continuous specification (Table 13); controlled-company status (Table 14); dual-class share structure (Table 15); SOX 404 audit-fee shock (Table 16); and accelerated-filer status (Table 17).

Table 11: Delaware premium by firm size, continuous specification. The size moderator is $z(\log \text{Sales})$, standardized within the estimation sample. Panel A: pooled OLS with the Delaware $\times$ $z(\log \text{Sales})$ interaction by period; Panel B: triple-difference Delaware $\times$ $z(\log \text{Sales}) \times \text{Post}_{2002}$. Because $z(\log \text{Sales})$ increases with size – the opposite of the binary Small indicator in Table 8 – the triple-difference carries the opposite sign: a positive coefficient indicates the premium decline is concentrated in small (low- z) firms. Controls (R&D/AT, ROA, lagged ROA) and year and two-digit SIC fixed effects included; log Sales is the moderator and is omitted from the controls. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Log sales (z) interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.048*** (0.012)	-0.031 (0.022)	+0.022 (0.014)
Log sales (z)	-0.084*** (0.029)	-0.013 (0.021)	-0.050** (0.020)
DE $\times$ Log sales (z)	-0.008 (0.015)	+0.075*** (0.022)	+0.033** (0.015)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,918	60,910	133,828
R^2	0.095	0.089	0.082

Panel B: Triple-difference	
	Coefficient
Delaware	+0.042*** (0.012)
Log sales (z)	-0.065*** (0.022)
DE $\times$ Log sales (z)	-0.021 (0.014)
DE $\times$ Post-2002	-0.091*** (0.026)
Log sales (z) $\times$ Post-2002	+0.020 (0.028)
DE $\times$ Log sales (z) $\times$ Post-2002	+0.113*** (0.024)
Controls	Yes
Industry FE	Yes
N	151,462
R^2	0.109

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 12: Institutional ownership and the Delaware premium (binary split). HighInst_{it} is the above-year-median institutional-ownership indicator. Panel A: pooled OLS with the Delaware $\times$ HighInst interaction by period (pre-SOX 1999–2001, post-SOX 2002–2025, full 1999–2025). Panel B: triple-difference Delaware $\times$ HighInst $\times$ Post₂₀₀₂. The interacted group is HIGH institutional ownership: institutional monitoring is itself a substitute for Delaware corporate law, so the premium is hypothesized to erode for the better-monitored (high-IO) firms. All regressions include log sales, R&D/assets, current and lagged ROA, and two-digit SIC fixed effects. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ High IO interaction			
	Pre-SOX (1999–2001)	Post-SOX (2002–2025)	Full sample (1999–2025)
Delaware	+0.14*** (0.03)	+0.06* (0.03)	+0.07** (0.03)
High IO	+0.28*** (0.09)	+0.12*** (0.04)	+0.14*** (0.04)
DE $\times$ High IO	-0.01 (0.05)	-0.01 (0.05)	+0.00 (0.04)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	9,688	50,865	60,553
R^2	0.11	0.08	0.07

Panel B: Triple-difference	
	Coefficient
Delaware	+0.20*** (0.04)
High IO	+0.15* (0.08)
DE $\times$ High IO	-0.03 (0.04)
DE $\times$ Post-2002	-0.16*** (0.04)
High IO $\times$ Post-2002	-0.01 (0.08)
DE $\times$ High IO $\times$ Post-2002	+0.04 (0.06)
Controls	Yes
Industry FE	Yes
N	60,553
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table 13: Institutional ownership and the Delaware premium, continuous specification. The moderator is $z(\text{InstOwn})$, standardized institutional ownership. Panel A: pooled OLS with the Delaware $\times z(\text{InstOwn})$ interaction by period; Panel B: triple-difference Delaware $\times z(\text{InstOwn}) \times \text{Post}_{2002}$. Controls (log sales, R&D/assets, current and lagged ROA) and two-digit SIC fixed effects included. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Inst. own. (z) interaction			
	Pre-SOX (1999–2001)	Post-SOX (2002–2025)	Full sample (1999–2025)
Delaware	+0.12*** (0.03)	+0.05** (0.02)	+0.06*** (0.02)
Inst. own. (z)	+0.24*** (0.05)	+0.12*** (0.02)	+0.14*** (0.02)
DE $\times$ Inst. own. (z)	-0.01 (0.04)	-0.03 (0.02)	-0.04* (0.02)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	9,688	50,865	60,553
R^2	0.11	0.08	0.07

Panel B: Triple-difference	
	Coefficient
Delaware	+0.16*** (0.04)
Inst. own. (z)	+0.15*** (0.05)
DE $\times$ Inst. own. (z)	-0.03 (0.04)
DE $\times$ Post-2002	-0.12*** (0.04)
Inst. own. (z) $\times$ Post-2002	-0.02 (0.05)
DE $\times$ Inst. own. (z) $\times$ Post-2002	+0.01 (0.04)
Controls	Yes
Industry FE	Yes
N	60,553
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table 14: Delaware premium by controlled-company status (EDGAR proxy). A firm is controlled-explicit if its CIK appears in DEF 14A filings (2003–2024) claiming the NYSE 303A.00 / Nasdaq 5615(c) controlled-company exemption; the indicator is pinned at 2002 status and applied to all of the firm’s firm-years. The interacted group is NON-controlled firms – those subject to the post-SOX board-independence reforms, hence the eroding group. Panel A: Delaware $\times$ NonControlled by period; Panel B: triple-difference Delaware $\times$ NonControlled $\times$ Post₂₀₀₂. Year and two-digit SIC fixed effects plus standard controls. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Non-controlled interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.021 (0.064)	-0.045 (0.066)	-0.014 (0.057)
Non-controlled	-0.073 (0.055)	-0.026 (0.060)	-0.047 (0.051)
DE $\times$ Non-controlled	+0.036 (0.066)	+0.048 (0.070)	+0.049 (0.058)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	58,607	51,183	109,790
R^2	0.085	0.096	0.075

Panel B: Triple-difference	
	Coefficient
Delaware	-0.022 (0.060)
Non-controlled	-0.072 (0.053)
DE $\times$ Non-controlled	+0.073 (0.062)
DE $\times$ Post-2002	+0.020 (0.068)
Non-controlled $\times$ Post-2002	+0.072 (0.059)
DE $\times$ Non-controlled $\times$ Post-2002	-0.065 (0.074)
Controls	Yes
Industry FE	Yes
N	119,641
R^2	0.091

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 15: Delaware premium by share-class structure (dual-class proxy). Dual-class status is the CRSP share-structure indicator (1 if the firm’s PERMCO has ≥ 2 active SHRCD-10/11 PERMNOs or any active PERMNO carries a non-blank SHRCLS code), pinned at 2002 status. The interacted group is SINGLE-class firms – those subject to the post-SOX board-independence reforms, hence the eroding group. Panel A: Delaware $\times$ SingleClass by period; Panel B: triple-difference Delaware $\times$ SingleClass $\times$ Post₂₀₀₂. Year and two-digit SIC fixed effects plus standard controls. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Single-class interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.121** (0.048)	+0.026 (0.072)	+0.089* (0.052)
Single-class	+0.062 (0.040)	+0.050 (0.060)	+0.066 (0.042)
DE $\times$ Single-class	-0.070 (0.051)	-0.032 (0.074)	-0.062 (0.053)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	58,607	51,183	109,790
R^2	0.085	0.096	0.075

Panel B: Triple-difference	
	Coefficient
Delaware	+0.097** (0.047)
Single-class	+0.068* (0.037)
DE $\times$ Single-class	-0.054 (0.048)
DE $\times$ Post-2002	-0.033 (0.078)
Single-class $\times$ Post-2002	+0.002 (0.062)
DE $\times$ Single-class $\times$ Post-2002	-0.010 (0.080)
Controls	Yes
Industry FE	Yes
N	119,641
R^2	0.091

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 16: Delaware premium by SOX 404 audit-fee shock. The moderator HighAuditFeeShock_{*i*} equals 1 if firm *i*'s 2001–2005 change in log audit fees is above the sample median, 0 otherwise (Audit Analytics); it is treated as a fixed firm characteristic. Panel A: Delaware × HighAuditFeeShock by period; Panel B: triple-difference Delaware × HighAuditFeeShock × Post₂₀₀₂. Log sales, R&D/assets, current and lagged ROA, and year and two-digit SIC fixed effects. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware × High audit-fee shock interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.100*** (0.035)	+0.024 (0.038)	+0.054* (0.031)
High audit-fee shock	+0.153*** (0.038)	+0.100** (0.050)	+0.130*** (0.036)
DE × High audit-fee shock	-0.027 (0.050)	-0.019 (0.055)	-0.017 (0.044)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
<i>N</i>	28,152	35,769	63,921
<i>R</i> ²	0.108	0.112	0.091

Panel B: Triple-difference	
	Coefficient
Delaware	+0.088*** (0.033)
High audit-fee shock	+0.112*** (0.037)
DE × High audit-fee shock	-0.024 (0.048)
DE × Post-2002	-0.061 (0.041)
High audit-fee shock × Post-2002	+0.022 (0.050)
DE × High audit-fee shock × Post-2002	+0.002 (0.061)
Controls	Yes
Industry FE	Yes
<i>N</i>	69,195
<i>R</i> ²	0.102

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 17: Delaware premium by accelerated-filer status. The moderator Accelerated_i equals 1 if firm i is an accelerated or large-accelerated filer (subject to the full SOX 404 regime), 0 if non-accelerated (Audit Analytics); it is treated as a fixed firm characteristic. Panel A: Delaware $\times$ Accelerated by period; Panel B: triple-difference Delaware $\times$ Accelerated $\times$ Post₂₀₀₂. Log sales, R&D/assets, current and lagged ROA, and year and two-digit SIC fixed effects. Standard errors: [White \(1980\)](#) robust.

Panel A: Pooled OLS with Delaware $\times$ Accelerated filer interaction			
	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.067* (0.034)	-0.026 (0.044)	+0.022 (0.032)
Accelerated filer	+0.331*** (0.038)	+0.147* (0.081)	+0.254*** (0.047)
DE $\times$ Accelerated filer	+0.003 (0.045)	+0.004 (0.054)	-0.006 (0.040)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	37,729	49,051	86,780
R^2	0.098	0.074	0.070

Panel B: Triple-difference	
	Coefficient
Delaware	+0.065* (0.033)
Accelerated filer	+0.246*** (0.043)
DE $\times$ Accelerated filer	-0.011 (0.044)
DE $\times$ Post-2002	-0.080* (0.048)
Accelerated filer $\times$ Post-2002	-0.006 (0.054)
DE $\times$ Accelerated filer $\times$ Post-2002	+0.007 (0.062)
Controls	Yes
Industry FE	Yes
N	93,269
R^2	0.079

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

C Side-by-Side Comparison with Daines (2001)

This appendix sets this project’s replication-sample descriptive statistics beside the values [Daines \(2001\)](#) reported in his Table 1 for 1981–1996. The replication tracks the published figures closely—the Delaware and non-Delaware means and medians of Tobin’s q are within rounding of Daines’s—using standard (non-intangible-adjusted) q trimmed at the 1st and 99th percentiles within each fiscal year over the same 1981–1996 window, excluding utilities and financials. We do not reproduce the original sample exactly: Daines required hand-collected business-segment data and reincorporation records that this project does not use, and our panel applies the project’s standard screens (at least five firm-years per firm; dot-com firms excluded in the main specification) and a per-year rather than global 1/99 trim. These differences leave the replication sample modestly larger than Daines’s (Table [18](#)) and make business-segment counts unavailable (shown as “–”); the close agreement on q levels nonetheless confirms the replication is faithful.

Table 18: Descriptive statistics for Delaware vs. non-Delaware exchange-traded firms, 1981–1996. The “Published” columns reproduce the values from [Daines \(2001\)](#) Table 1; the “Replication” columns report estimates on Compustat annual data using the project’s standard sample screens (excluding utilities and financials, ≥ 5 firm-years per gvkey, Tobin’s q trimmed at 1/99 within fyear).

Descriptive statistics for exchange-traded firms between 1981 and 1996. Financial firms and utilities are excluded. The “Published” columns reproduce the values reported in Table 1 of Daines (2001), based on 4,481 firms and 47,001 firm-years. The “Replication” columns report my estimates from Compustat, based on 6,336 firms and 53,358 firm-years. Sales are in millions of dollars. Debt/capital is the ratio of long-term debt plus debt in current liabilities to total assets. Tobin’s Q is estimated as (market value of equity + book value of assets – book value of equity – deferred taxes) divided by book value of assets. Tobin’s Q is trimmed at the 1st and 99th percentiles (observations outside these bounds are dropped). The number of business segments is unavailable in this extract and is shown as “–”. Differences in sample size reflect the original study’s requirement of segment data and its use of reincorporation records.

	Delaware firms				Other firms			
	Mean		Median		Mean		Median	
	Pub.	Repl.	Pub.	Repl.	Pub.	Repl.	Pub.	Repl.
Sales	1107.8	1032.0	153.3	102.8	928.2	688.0	105.4	61.0
Business segments	1.74	–	1.00	–	1.67	–	1.00	–
Debt/capital	0.46	0.27	0.45	0.25	0.42	0.25	0.41	0.23
Tobin’s Q	1.73	1.75	1.31	1.31	1.65	1.68	1.28	1.28

D Synthetic-control detail: per-switcher fits

This appendix reports the per-switcher synthetic controls underlying Figure 14. Only the 11 switchers with a pre-proposal root mean squared prediction error (RMSPE) below 0.62 are shown; these are precisely the switchers included in the mean and median gap series in Figure 14, ordered from lowest to highest RMSPE. The five remaining switchers had poor pre-fit RMSPE and are excluded from both the aggregate figure and this appendix. For each included switcher the exhibit shows the switcher’s quarterly Tobin’s q against its synthetic control, the covariate balance of the match (treated vs. synthetic predictor means), and the donor portfolio weights.

Figure 18: Synthetic control for Simon Property Group (reincorporation proposal 2025-03-21). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (4 post-quarters); pre-fit RMSPE 0.068; 40 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Simon Property Group (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.



Figure 19: Synthetic control for Sphere Entertainment (reincorporation proposal 2025-04-03). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (3 post-quarters); pre-fit RMSPE 0.108; 27 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Sphere Entertainment (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

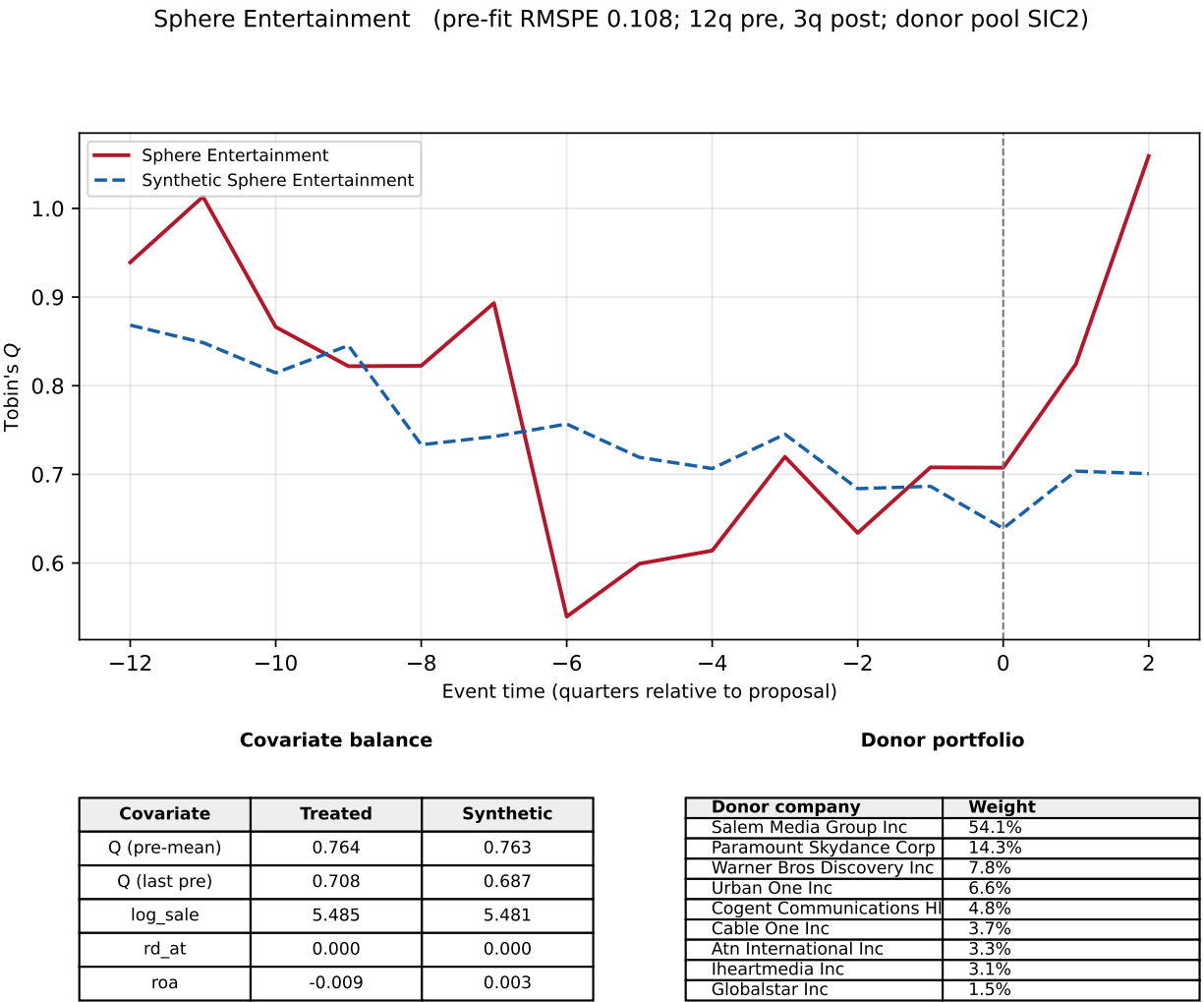


Figure 20: Synthetic control for MSG Entertainment (reincorporation proposal 2025-04-07). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 6 pre-proposal quarters (5 post-quarters); pre-fit RMSPE 0.112; 20 eligible Delaware-stayer donors in the same one-digit SIC (the donor pool was expanded from the two-digit SIC because that fit was poor) (those with data for every period this switcher has). **Final donor-pool spec: SIC1.** Top: MSG Entertainment (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

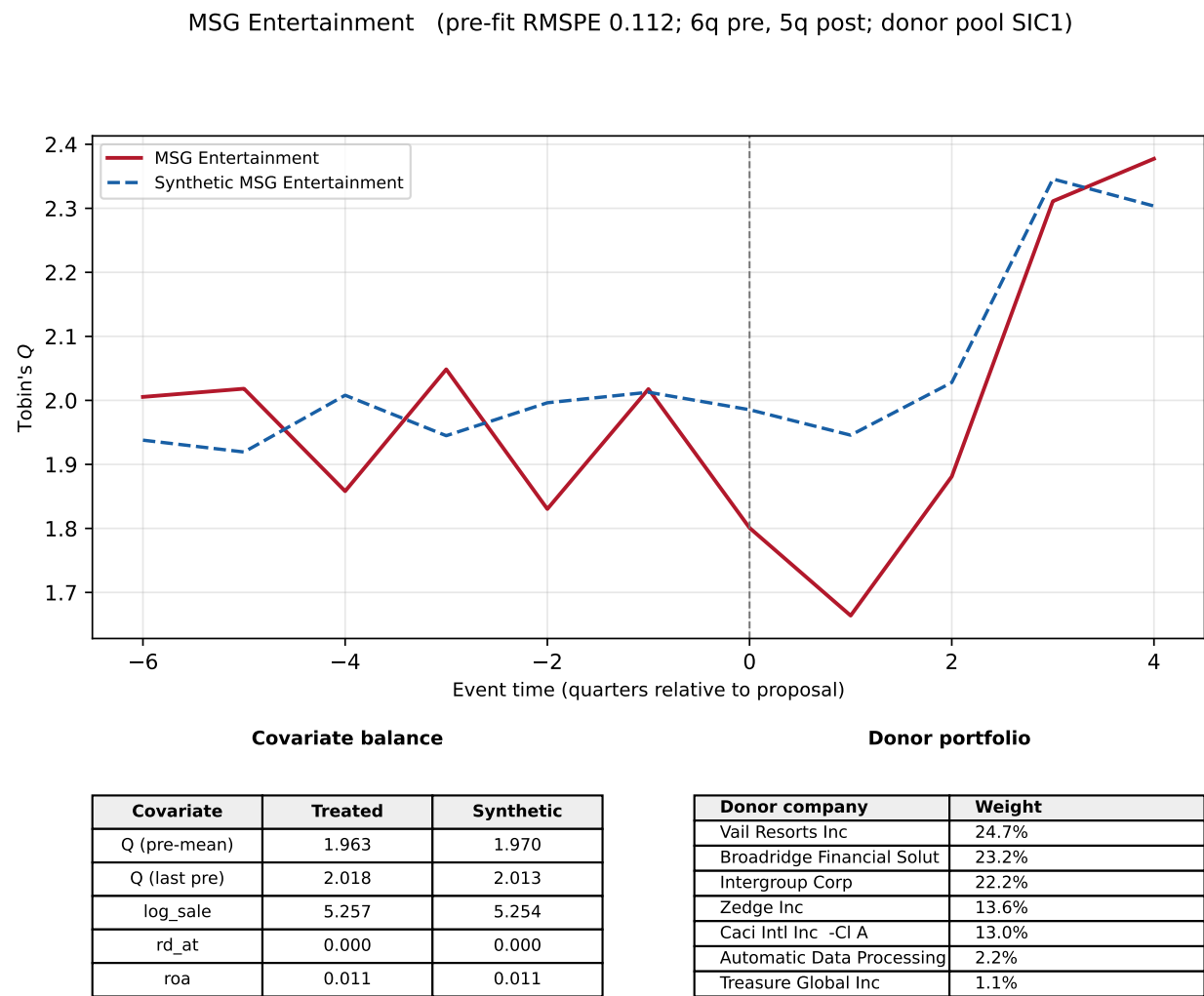
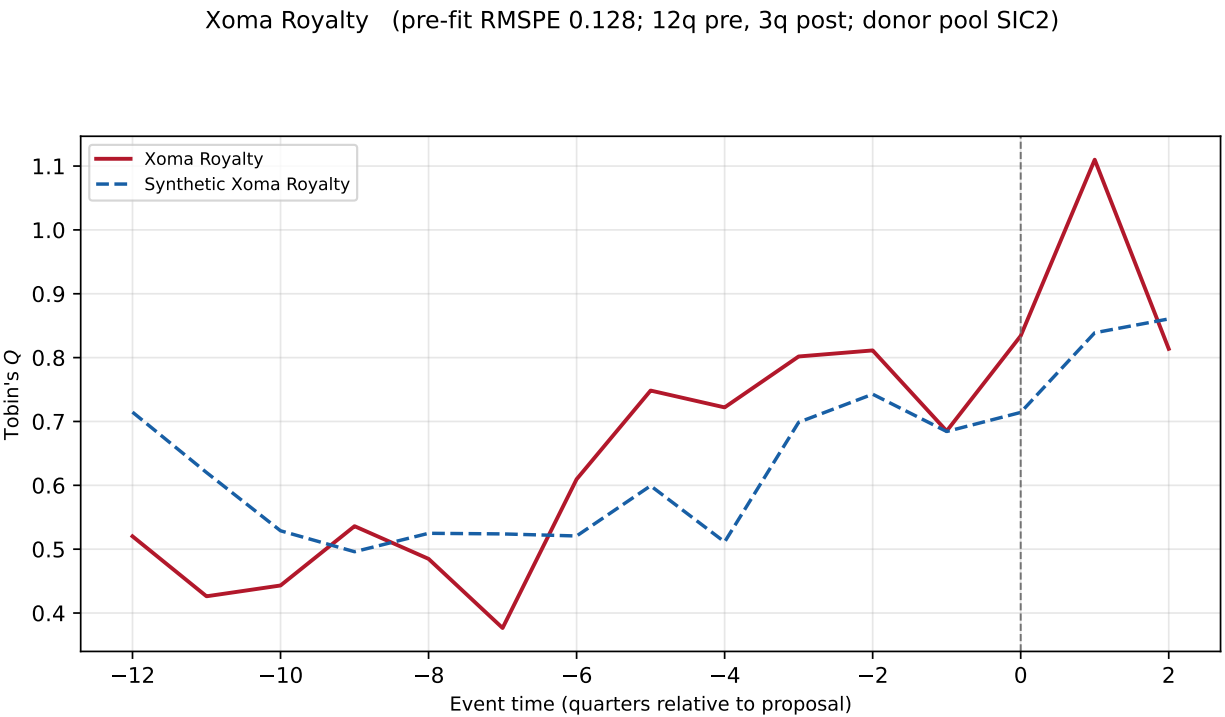


Figure 21: Synthetic control for Xoma Royalty (reincorporation proposal 2025-04-04). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (3 post-quarters); pre-fit RMSPE 0.128; 40 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Xoma Royalty (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.



Covariate balance			Donor portfolio	
Covariate	Treated	Synthetic	Donor company	Weight
Q (pre-mean)	0.597	0.597	Vaxart Inc	11.2%
Q (last pre)	0.685	0.684	Natural Alternatives	11.2%
log_sale	0.783	0.787	Gevo Inc	10.5%
rd_at	0.002	0.043	Corvus Pharmaceuticals Inc	10.2%
roa	-0.035	-0.047	Organogenesis Holdings Inc	10.1%
			Orasure Technologies Inc	9.8%
			Medicinova Inc	9.7%
			Viartis Inc	8.5%
			Cardiff Oncology Inc	6.5%
			Integrated Biopharma Inc	6.1%

Figure 22: Synthetic control for Dropbox (reincorporation proposal 2025-01-31). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (4 post-quarters); pre-fit RMSPE 0.226; 40 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Dropbox (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

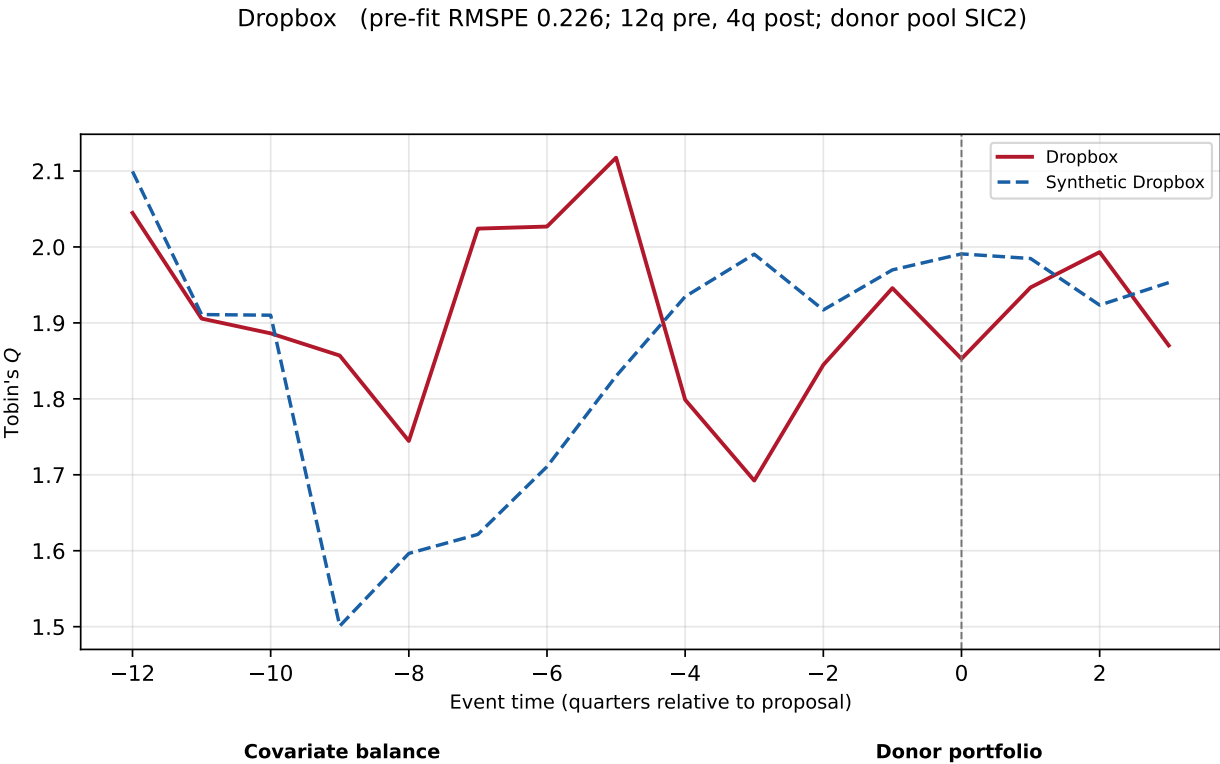


Figure 23: Synthetic control for Cannae Holdings (reincorporation proposal 2024-04-14). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (7 post-quarters); pre-fit RMSPE 0.260; 19 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Cannae Holdings (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

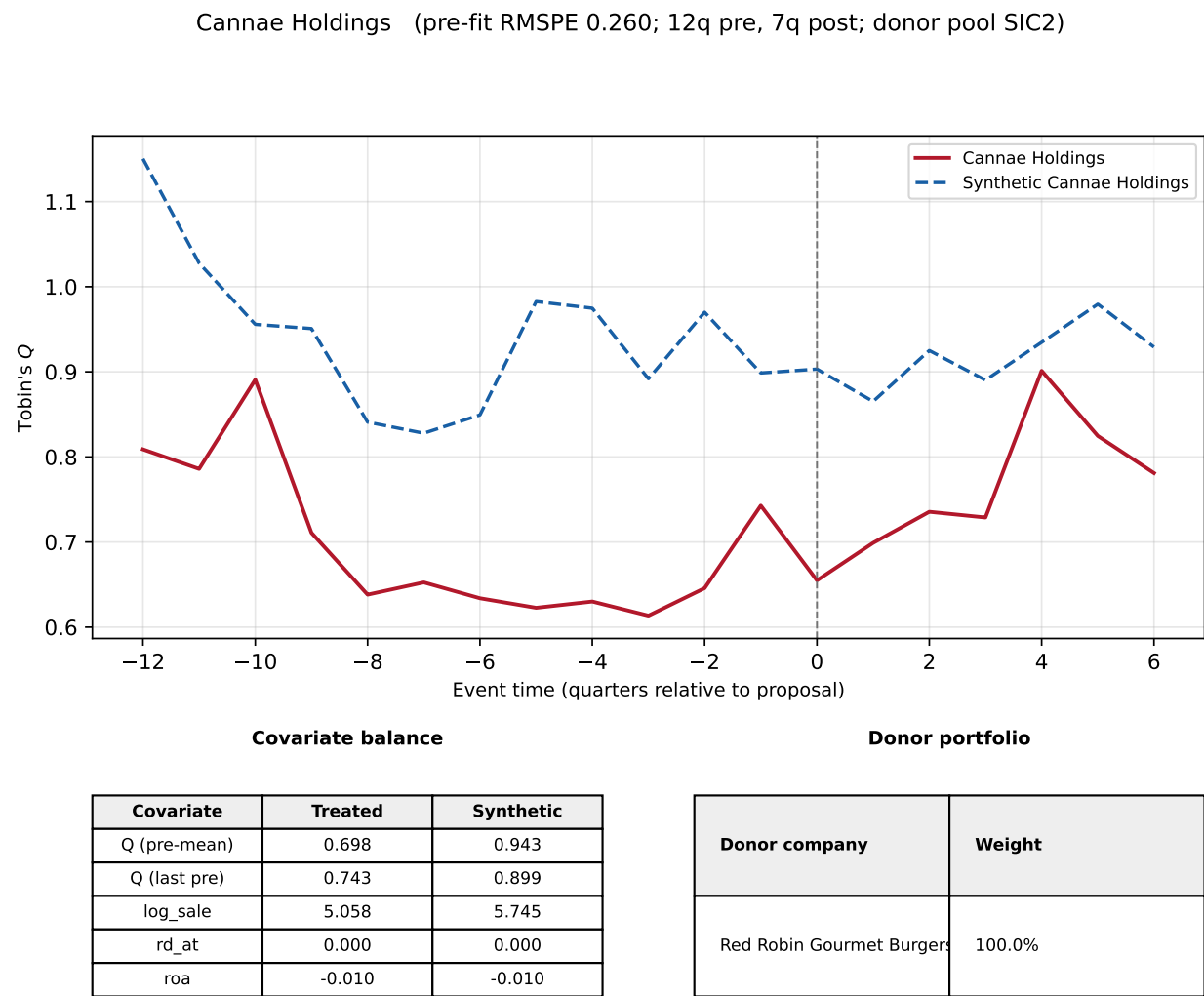


Figure 24: Synthetic control for Dillard’s (reincorporation proposal 2025-05-01). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (3 post-quarters); pre-fit RMSPE 0.262; 5 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Dillard’s (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

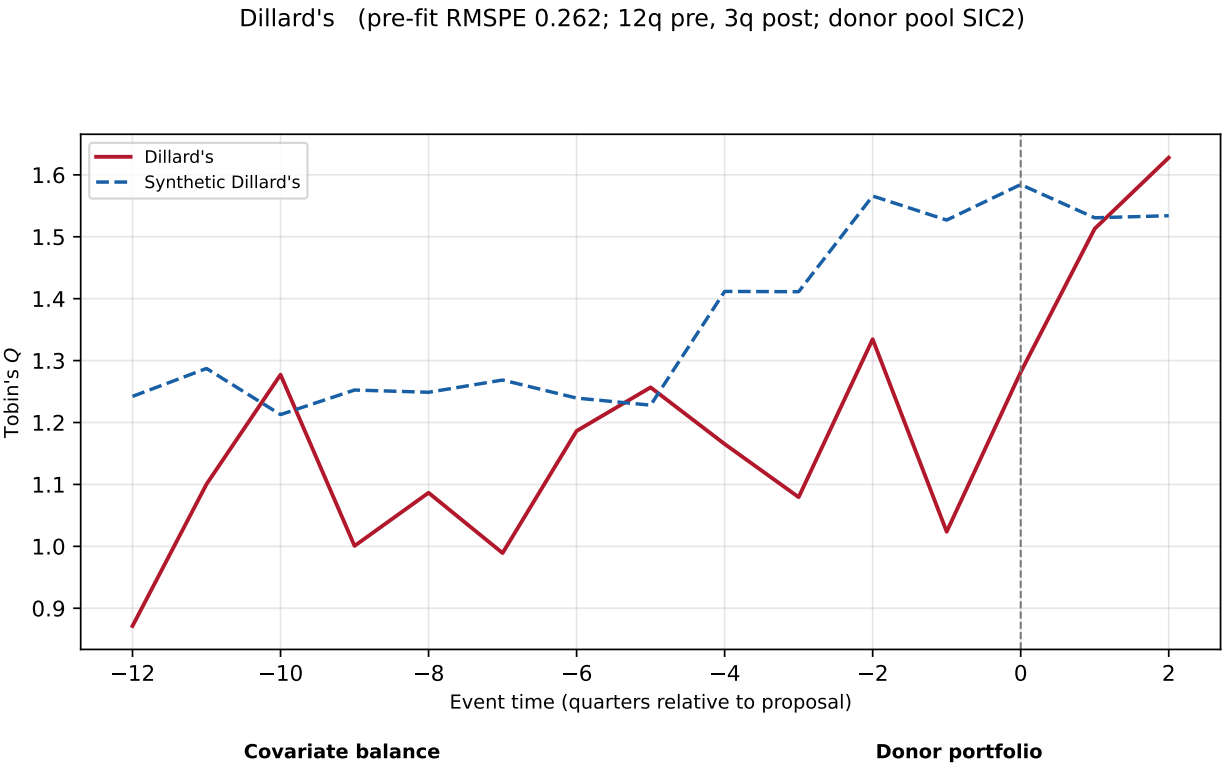


Figure 25: Synthetic control for TripAdvisor (reincorporation proposal 2023-04-10). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (9 post-quarters); pre-fit RMSPE 0.279; 40 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: TripAdvisor (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

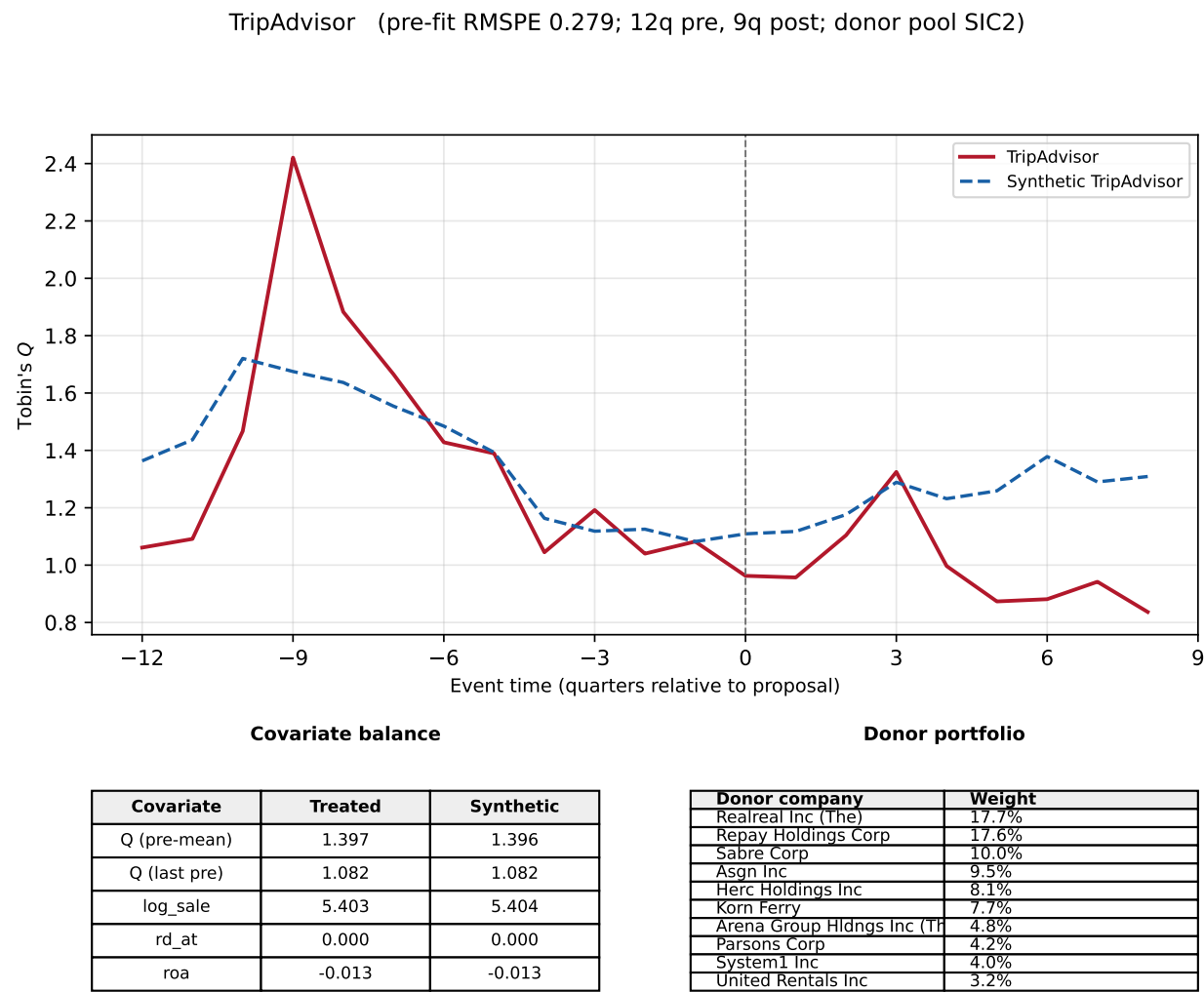


Figure 26: Synthetic control for Coinbase (reincorporation proposal 2025-03-26). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (4 post-quarters); pre-fit RMSPE 0.341; 40 eligible Delaware-stayer donors in the same two-digit SIC (those with data for every period this switcher has). **Final donor-pool spec: SIC2.** Top: Coinbase (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

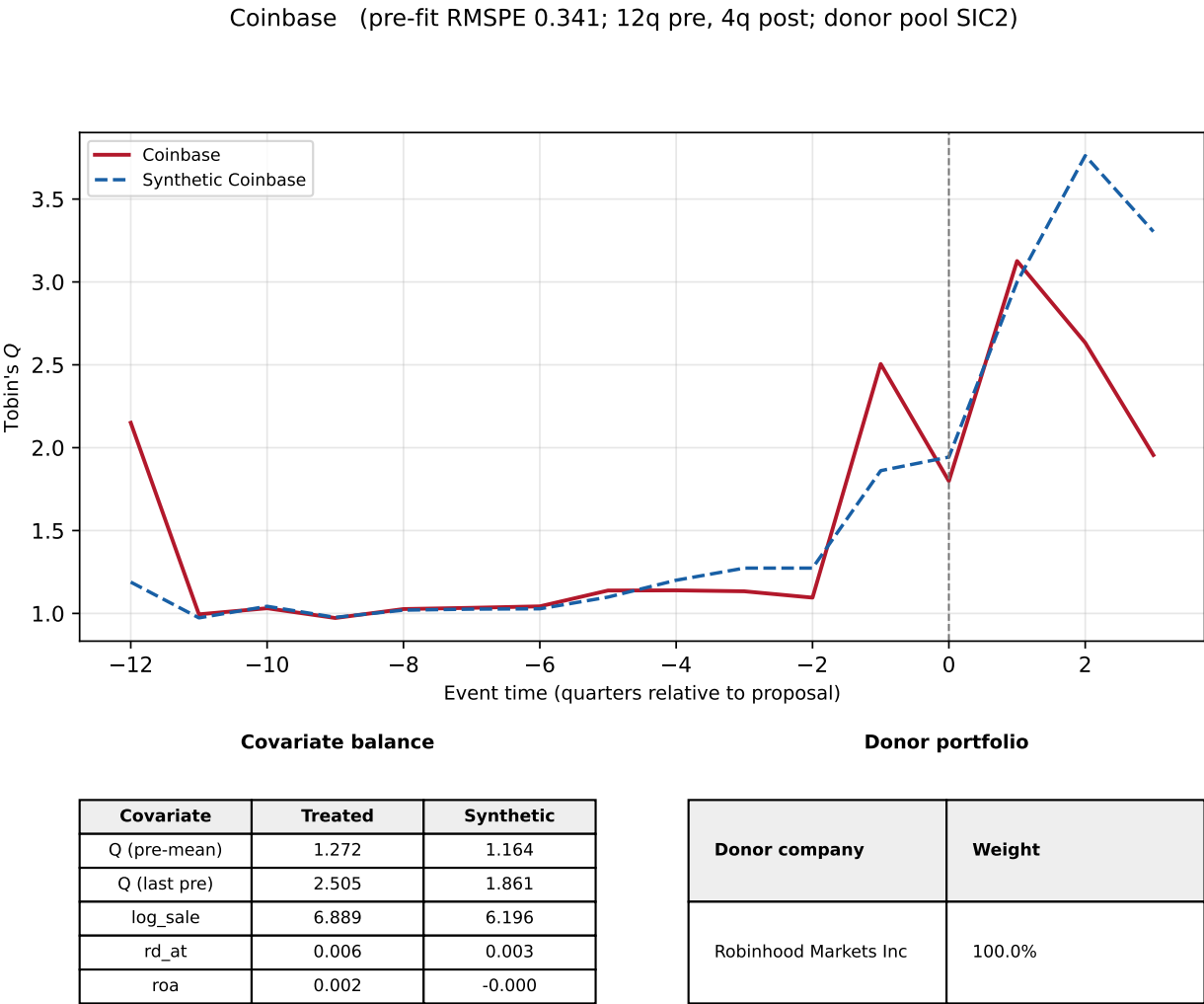


Figure 27: Synthetic control for MSG Sports (reincorporation proposal 2025-04-07). Match on log sales, R&D/assets, ROA, the pre-window average Q , and the last pre-proposal-quarter Q , over 12 pre-proposal quarters (5 post-quarters); pre-fit RMSPE 0.448; 19 eligible Delaware-stayer donors in the same one-digit SIC (the donor pool was expanded from the two-digit SIC because that fit was poor) (those with data for every period this switcher has). **Final donor-pool spec: SIC1.** Top: MSG Sports (solid) vs. its synthetic control (dashed) in event time. Below: covariate balance (treated vs. synthetic predictor means) and the donor portfolio, by company.

